NISM XII Complete Summary

Every chapter of the September 2026 workbook (securities markets, securities and investing, primary markets, secondary markets, mutual funds, derivatives) — 168 subtopics in tables, keywords and formulas. Exam: 100 questions × 1 mark, 2 hours, pass 60%, no negative marking. Single source: the workbook. Each subtopic rated 1–5★ for exam importance.

★★★★★ must know, asked often ★★★★☆ high ★★★☆☆ medium ★★☆☆☆ low ★☆☆☆☆ skim

‡ rule or number that changes often; check workbook edition

Ch	Chapter	Marks	Priority	Subtopics	5★
1	Understanding Securities Markets and Performance	10	★★★★☆	16	10
2	Securities: Types, Features, Asset Allocation & Investing	20	★★★★★	31	23
3	Primary Markets	20	★★★★★	32	26
4	Secondary Markets	20	★★★★★	40	33
5	Mutual Funds	20	★★★★★	30	25
6	Derivatives Markets	10	★★★★☆	15	11
Gloss	Glossary of Financial Terms & extra facts	—	★★☆☆☆	4	0

5★ list (128) — read these first

Ch 1 · Definition of securities — SCRA 1956, Section 2(h) · One-to-one contract vs security · Structure: primary vs secondary market · Intermediaries — SEBI (Intermediaries) Regulations 2008 · KYC Registration Agencies (KRA) · Regulators · SEBI's functions · Role of securities markets · Cyber Security & Cyber Resilience Framework (CSCRF) · Innovation Sandbox vs Regulatory Sandbox

Ch 2 · Equity vs debt — two asset classes · Other asset classes & products · Issuer's choice: equity or debt financing · Features of equity capital · Types of equity: DVR & preference shares · Features of debt capital · Debt security terms; bond vs debenture · Bond structures · Classification of debt; money market securities · Government securities · Corporate bonds; special bonds · Benefits & risks of debt · Convertible debentures · Depository receipts · FCCBs · Warrants · Derivatives — features & roles · Derivative segments in India · Asset allocation & diversification · Price vs intrinsic value · PE, PBV, dividend yield · Time value of money & bond pricing · Yield, current yield, YTM

Ch 3 · Primary market — nature · Functions of the primary market · Primary market intermediaries · Types of issues · Types of issuers · Types of investors · Regulatory framework · IPO eligibility (ICDR) · Promoters' contribution & lock-in · Minimum offer to public · Issue period, underwriting, demat, IPO grading · IPO: fresh issue vs offer for sale · Fixed price vs book building · Book building — cut-off price (worked) · Allocation in the net offer · Public issue process — steps · Prospectus & red herring prospectus · Applying to a public issue · Basis of allotment (worked) · Green shoe option · Rights issue · Public issue of debt — rules (NCS Regs 2021) · G-sec primary issue · Private placement & preferential allotment · Qualified Institutions Placement (QIP) · Electronic Book Provider (EBP) for private debt

Ch 4 · Role of the secondary market · Secondary markets by asset · Participants & stock exchanges · Trading, clearing, settlement · Clearing corporation, depositories, custodians · Regulator & IFSC · Brokers & authorised persons · Client acquisition & documents · 3-in-1 account; PoA → DDPI · Trading systems · Orders & identifiers · Trading hours & pre-open · Electronic order matching · Reading the order book (worked) · Active vs passive orders; DMA · Bulk deals vs block deals · Circuit breakers & price bands · Contract note · Cost of trading — user charges & statutory levies · Bid-ask spread & impact cost (worked) · Delivery vs square-off; T+1 · Settlement obligations & netting · Margins in the cash market · Cross-margining · Corporate actions & price adjustment · Interoperability of clearing corporations · Securities Lending & Borrowing Mechanism (SLBM) · Market cap, turnover, delivery % · Market indices · Exchange risk management · Grievance redressal & arbitration · SCORES, ODR, investor protection funds · Debt secondary market & reporting

Ch 5 · Basic features of a mutual fund · Mutual fund, scheme, categories · Pooling, units, unit capital (worked) · NAV (worked) · Why transactions are priced at NAV (worked) · Expenses, loads, performance, diversification · Pass-through status · Open-ended, closed-end, interval funds · Growth vs IDCW options · How a mutual fund works · Equity scheme categories · Debt funds — how returns arise · Debt scheme categories · Hybrid scheme categories · Life cycle funds · Other schemes: index, ETF, gold/silver ETF, FoF · Active vs passive investing · Investment channels; PAN & KYC · Purchases: NFO & continuous offer · Redemptions (worked) · Non-financial transactions, statements, demat, commission · Systematic plans & switches · Information, benefits & costs · Regulation of mutual funds · Investor service standards

Ch 6 · Derivative & forward (gold example) · Zero sum, settlement, OTC vs exchange, arbitrage · Forwards, futures, options, swaps · Option terminology (Arvind–Salim) · Indian derivatives market structure · Equity futures contract specifications · Clearing members & settlement · Options trading & settlement · Risk management in derivatives · Uses: hedging, speculation, arbitrage · Open interest & put-call ratio

4★ list (29)

Ch 1 · Financial market & securities market · Features of securities · Investors: retail vs institutional · Issuers

Ch 2 · Equity risk & return · Choosing debt or equity as investor · DR issue process & IDRs · Commodities as an asset class · Investment process factors · Equity research, analysis & valuation · Debt investing process

Ch 3 · Primary vs secondary; market cycles · Further public offer (FPO) · Constituents of a public issue · Listing · Public issue process — debt

Ch 4 · MII governance — Gandhi Committee · Total trading cost (worked, ₹1 lakh) · Short delivery & funds shortage · Investor's trading & settlement journey · Listing agreement obligations · Investor rights & obligations

Ch 5 · Direct investing vs mutual funds · FMPs, infrastructure debt funds, real estate funds · FATCA & CRS · Specialized Investment Fund (SIF)

Ch 6 · Structuring derivatives — examples · Order types in F&O · Position limits

Source: NISM-Series-XII Securities Markets Foundation Workbook, version September 2026 (the only source used). Marks are the official weightages (100 questions). TRAP boxes flag common exam confusions and places where the workbook itself is inconsistent.

01 Understanding Securities Markets and Performance

≈10 marks · 16 subtopics · chapter priority ★★★★☆

Financial market & securities market ★★★★☆

- Financial market = money, debt, equity markets + investors (buyers) + issuers (users of funds) + intermediaries + regulators (SEBI, RBI…)
- Securities market = regulated framework for flow of capital (equity & debt) from investors to businesses; channels **savings into investments**
- Securities = financial instruments issued by companies, FIs or government to raise funds; investors turn savings into financial assets

Definition of securities — SCRA 1956, Section 2(h) ★★★★★

#	Included in 'securities'
a	Shares, scrips, stocks, bonds, debentures, debenture stock of any company / pooled investment vehicle / body corporate
b	Derivatives
c	Units of a collective investment scheme
d	Security receipts (SARFAESI Act 2002, s.2(zg))
e	Mutual fund units — but **not ULIPs** (insurance + investment combined)
f	Units of a pooled investment vehicle
g	Certificates from a special purpose entity holding debt/receivables (incl. mortgage debt) — securitised instruments
h	Government securities
i	Others declared by Central Govt: onshore rupee bonds of ADB, IFC · **Electronic Gold Receipts** (24 Dec 2021) · **Zero Coupon Zero Principal** instruments (16 Jul 2022, not-for-profits on Social Stock Exchange)
j	Rights or interest in securities

SCRA derivative = security derived from debt, share, loan, risk instrument or contract for differences · contract deriving value from prices/index of securities · commodity derivatives · others notified

Features of securities ★★★★☆

- Represent terms of exchange of money between two parties; issuer and investor goals are complementary
- Issuer sets terms; listing makes security liquid and gives information to investors
- Investor gets rights: ownership, participation in management or claim on assets
- Broad classes: **equity** and **debt**; return = benefit; risk = chance return does not come (bond: default on interest or principal)
- Market lets investors take risk for return, judge it with information, and transfer it by selling

One-to-one contract vs security ★★★★★

	Bank fixed deposit	Certificate of deposit (CD)
Type	Bilateral contract	Security
Repaid to	Only the depositor	Whoever holds it at maturity
Transferable	No (receipt not transferable); early exit with penalty	Yes, at a mutually agreed market price

NOT securities: bank deposits · inter-corporate deposits · company FDs · deposits with HFCs/finance companies · chit funds · benefit funds · insurance policies · provident and pension fund investments

Structure: primary vs secondary market ★★★★★

Primary market	Secondary market
'New issue market' — issuers raise capital	Stock exchange — trade in already-issued securities
Creates financial assets	Makes them **marketable**; gives exit; risk moves from seller to buyer

The two segments are interdependent and inseparable

Primary players: merchant bankers, MFs, FIs, FPIs, insurers, individuals, bankers to issue, brokers, DPs; issuers = companies, bodies corporate; exchanges only for **listing**

Secondary players: exchanges, brokers, AMCs, FIs, FPIs, investment companies, individuals, DPs, banks

RTAs, custodians, depositories serve **both** markets

Investors: retail vs institutional ★★★★☆

- Retail = individuals on personal account (A invests ₹5,000/month in MF units)
- Institutional = companies, banks, govt bodies, MFs, insurers, pension funds, endowments, societies (ABC MF buys 50,000 XYZ shares)
- MFs are institutional investors 'by objective'; banks/FIs invest via treasury
- Institutions run formal processes: select securities · review & monitor · manage risk, return, holding period

Issuers ★★★★☆

Issuer	Why / what
Companies	Short- and long-term capital
Central & state govts	Debt to fund **deficit** (expenses above income)
Local govts / municipalities	Debt for development; **govt agencies never issue equity**
Banks & FIs	Equity or debt beyond deposits/grants
PSUs	Shares sold to public in govt **disinvestment**
Mutual funds	Units of schemes
Investment trusts	REITs, InvITs, AIFs issue units

Issued under issuer's name and common seal; issuer bears obligation

Electronic issue since mid-1990s; paper → electronic = **dematerialisation**

Issuers must be authorised by the regulator

Intermediaries — SEBI (Intermediaries) Regulations 2008 ★★★★★

List: AMCs · portfolio managers · merchant bankers · underwriters · stock brokers · authorised persons · clearing members · derivatives trading members · bankers to an issue · registrars of an issue · share transfer agents · DPs · custodians · trustees of trust deeds · CRAs · investment advisers · KYC registration agencies

Intermediary	Role
AMC	Offers units = share in a **pooled** portfolio; charges fee
Portfolio manager	Manages client portfolio; **no pooling, issues no security**
Merchant banker	Issue manager / lead manager / investment banker; structures, prices, manages issue till listing; also **underwrites**
Primary dealer	Underwriter in govt bond market
Stock broker	Registered trading member; all exchange trades go through brokers; earns commission
Authorised person	Broker's agent (earlier 'sub-broker'); registered with exchange
Trading / clearing member	Trading member executes; clearing member settles funds and securities
Banker to an issue	Collects applications & money; reports to lead manager; sends data to registrar; transfers funds to issuer
Registrar & STA	Keeps investor records: first/joint holders, address, bank, signatures, nominations
Depository participant	Opens demat accounts; **agent of the depository**; investor-level accounts (company-level held by depository)
Custodian	For institutions: holds securities & cash, settles, accounts, values; usually large banks
Trustee	MF trustees supervise AMC; debenture trustees protect lenders
Credit rating agency	Opinion on ability to pay interest & principal; rating symbols
Investment adviser	Advice on needs, horizon, risk; financial plans

All must register with SEBI and follow its code of conduct: investor protection, fair professional service, no collusion, timely information, adequate infrastructure

KYC Registration Agencies (KRA) ★★★★★

- Central KYC store uploaded by intermediaries; uniform KYC for MFs, brokers, DPs, PMS, VCFs
- KYC done once is valid across all SEBI-registered intermediaries
- KRAs share data with each other via **inter-operability process (IOP)**; may share with RBI, IRDAI, PFRDA if notified
- Digital KYC must be accessible to persons with disabilities incl. visual impairment (SEBI 23 May 2025)
- Investor charter for KRAs (6 May 2025) shared via website, email, office display

KRA validates	Through
Aadhaar	UIDAI
Mobile & email	OTP or successful delivery of SMS/email
PAN	Income Tax database

Regulators ★★★★★

Regulator	Scope
SEBI	Statutory body, **SEBI Act 1992**; under Ministry of Finance; chief securities regulator; aims: develop markets, protect investors
RBI	Money market, forex market, govt securities (issue manager for govt), banks; monetary, forex, credit policy
MCA	Corporate sector; Companies Act; issuance by companies
MoF	Dept of Financial Services → banks, insurance, pension; **Dept of Economic Affairs → capital markets**
IRDAI	Insurance; IRDA Act **1999**; registers insurers/re-insurers
PFRDA	Pensions incl. NPS; PFRDA Act **2013**
IBBI	**2016** under Insolvency & Bankruptcy Code; regulates IPAs, IPs, information utilities; members from MoF, MCA, RBI
IFSCA	GIFT City, Gandhinagar; set up **2020** under IFSCA Act **2019**; unified regulator for IFSC

SEBI's functions ★★★★★

- Recognises and regulates stock exchanges; administers **SCRA 1956**; Central Govt may nominate up to **3** persons on each exchange; exchanges submit bye-laws for approval, periodic and daily monitoring reports
- Codified regulations for all activities and intermediaries
- Primary market: **SEBI (ICDR) Regulations 2018** — public & rights issues, QIP, preferential, bonus, IDRs; debt: **SEBI (NCS) Regulations 2021** (9 Aug 2021, merged Debt Securities Regs 2008 and NCRPS Regs 2013)
- Listing agreement: continuous information flow, governance, investor protection
- Inspections; investigations into manipulation, artificial volume, insider trading, takeover code, issue malpractice; surveillance at exchanges
- Powers: call for information, summon, examine witnesses, search & seizure; penalties = suspension, monetary penalty, prosecution
- Insider trading code: compliance officer, insider disclosures, confidentiality; penalties incl. prosecution, market ban, voiding trades

Role of securities markets ★★★★★

Role	Example
Orderly channel for funds	Disintermediation — company issues CP/bonds instead of bank loan
Productive investment	Many households jointly fund a large steel plant
Liquidity	Buy 100 XYZ at ₹25, sell at ₹45 → ₹2,000 gain; confidence to lock into long-term assets
Price discovery	Fair price set by buyers and sellers, not by regulator
Information signalling	Poor monsoon → fertiliser company prices fall

Technology in markets ★★★☆☆

- 19th century: brokers met under the banyan tree in front of Mumbai Town Hall, Fort area
- 1990s: 'pit trading' / 'open outcry' → screen-based electronic trading
- Phone orders → online and mobile trading; brings **cyber-attack** risk

Cyber Security & Cyber Resilience Framework (CSCRF) ★★★★★

- SEBI CSCRF for all Regulated Entities (REs), phased, supersedes earlier circulars (20 Aug 2024; updates Dec 2024, Mar 2025, Apr 2025)
- MIIs under CSCRF: stock exchanges · depositories · clearing corporations · **KRAs** · **QRTAs**
- Cyber security = prevent attacks; cyber resilience = prepare, respond, keep working, recover

Goal	Function	Key points
Anticipate	Governance	Board-approved policy; roles & accountability; RE solely accountable for third-party services
Anticipate	Identify	Classify critical systems (Board approves list); assess risks
Anticipate	Protect	Need-based access (not by rank); strong passwords, 2-factor, access logs; vendor supervision; full-disk + file encryption; vulnerability assessment; audit by **CERT-In empanelled** auditor
Anticipate	Detect	Continuous monitoring for anomalies and data leaks
Withstand & Contain	Respond	Report via **SEBI incident portal**; incident plan, SOPs, Cyber Crisis Management Plan (CCMP); root cause analysis; forensics
Recover	Recover	Timely restoration; alternate services; inform stakeholders
Evolve	—	Adaptive controls to reduce attack surface

5 goals: **Anticipate, Withstand, Contain, Recover, Evolve**

RE category fixed at start of FY on previous FY data, unchanged during the year

Vendors managing RE systems must follow SEBI rules

Periodic cyber audit mandatory

Innovation Sandbox vs Regulatory Sandbox ★★★★★

	Innovation Sandbox	Regulatory Sandbox
Who	FinTechs, start-ups, unregulated entities, individuals	**SEBI-registered** entities (alone or with a FinTech)
Testing	**Offline**, isolated from live market	**Live**, limited customers, limited time
Oversight	Steering committee of exchanges, depositories, QRTAs (revised framework 2 Feb 2021)	SEBI designated officer (framework 5 Jun 2020)

'Regulatory sandbox' coined by UK FCA in **2015**; > 20 countries use it; need arose after 2008 crisis

Criteria: genuine innovation adding value, genuine need for live test, no risk to financial system; clients told of risks

Relaxations possible, but **never** from investor protection, KYC and AML rules

Workbook sample answers ★★★☆☆

MF collecting money and issuing units = **issuer**

Facilitators between investors and issuers = intermediaries

Loss-making results → price falls = information signalling

Issued securities traded on stock exchanges where listed

RBI regulates money and forex markets = True

02 Securities: Types, Features, Asset Allocation & Investing

≈20 marks · 31 subtopics · chapter priority ★★★★★

Equity vs debt — two asset classes ★★★★★

	Equity	Debt
Capital	Kept as long as needed (perpetual)	Returned after set time
Return	No fixed return, no principal guarantee	Fixed interest + principal at maturity
Role	Owner	Lender
Management	Participates	Does not
Profile	Risky, long-term, growth, volatile	Lower risk, steady, short-term, income

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Borrow at 12%, assets earn 14% → lender gets 12%; extra 2% goes to equity
If assets earn less than 12% → equity may get nothing
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Splitting surplus between equity and debt by return, horizon, risk appetite, needs = **asset allocation**

Other asset classes & products ★★★★★

Product	Key points	Suits
Hybrid securities	Features of debt and equity	—
Commodities	Real assets (gold, silver, copper, agri); via commodity MFs, ETFs, derivatives	Retail via ETFs/MFs
Derivatives	Contracts on price, quantity, date; most traded products in last 20 years	Sophisticated investors
Mutual funds	Pool money, invest per mandate	**Retail** (best suited)
Structured products	Bond/currency + embedded options/swaps; customised, illiquid	**HNIs** with high risk appetite
Distressed securities	Equity, bonds, trade debt of near-bankrupt / heavily downgraded firms; steep discount; banks/MFs/insurers exit	Hedge funds, sophisticated investors
Electronic Gold Receipts (EGR)	Gold in electronic form; Gold Exchange framework (10 Jan 2022): create → trade → convert to physical; SEBI (Vault Managers) Regulations 2022	—
Zero Coupon Zero Principal (ZCZP)	Issued by NPOs for social projects; **no financial return**, only social return; listed on Social Stock Exchange segment	—

Issuer's choice: equity or debt financing ★★★★★

- Needs: (a) working capital — short-term debt; (b) long-term capital — equity or debt
- Governments issue **only debt**

Factor	Choose debt if...	Choose equity if...
Ability to pay interest	Stable profits (e.g. banks fund loans with deposits)	Irregular profits
Dilution	Owners won't dilute stake	Dilution acceptable
Collateral	Has assets to pledge	Service business, few assets
Time period	Short-term need (working capital)	Long-term need lenders won't fund

Features of equity capital ★★★★★

Feature	Point
Nature	Owners' risk capital; profits not fixed
Denomination	Face value ₹1, ₹2, ₹5 or ₹10; shareholders jointly own → '**joint stock company**'
Inside vs outside	Insiders = promoters (+ early VCs); outsiders = public investors later
Part ownership	10,000 shares × ₹10 = ₹1,00,000 capital (× ₹2 = ₹20,000); 5,100 of 10,000 = 51% majority stake; ESOPs give employees a stake
Return	Perpetual; dividend not fixed; **residual claim** — last for profits and assets (after govt, lenders, employees, preference holders)
Net worth	Retained profits → reserves → belong to shareholders, raise net worth; equity = '**risk capital**'
Control	Board manages; independent directors protect small holders; one share one vote; general meeting, postal ballot, e-voting

Types of equity: DVR & preference shares ★★★★★

- **DVR shares**: separate profit right from vote — usually higher dividend, fewer votes; promoters raise capital without losing control
- **Preference shares**: fixed dividend; paid after all other payments but before equity dividend; priority over equity in dividend and in capital on winding up; no voting, no claim on assets
- **Cumulative** preference: unpaid dividend carried forward if terms allow
- Usually unlisted, little capital appreciation — value not tied to company performance

Preference share	Debenture
Holder is a shareholder	Holder is a creditor
Unsecured (not a borrowing)	Usually secured
Dividend paid from profit after tax	Interest is a pre-tax expense

Equity risk & return ★★★★☆

- Return = dividend + price appreciation; depends on future residual cash flows and price paid
- Risk: benefits not assured; prices 'noisy' as many players react to news
- Prices mirror performance — barometer of company, sector, economy

Features of debt capital ★★★★★

Feature	Point
Instruments	Debentures, bonds, CPs, CDs, pass-through certificates; rate as % p.a. on face value
Floating rate	Linked to benchmark (e.g. **MIBOR**), reset at agreed frequency
Credit rating	Issuer appoints CRA; tells outsiders about ability to service
Priority	Interest paid before tax and before equity; missed payment = default; lenders paid first on failure
Security	Mortgage on assets → secured borrowing
Control (covenants)	Restrict unrelated diversification, more borrowing, second charge; ask owners for more equity
Conversion	Convertible debentures → equity at set date and price; interest stops on conversion

> `Borrow ₹100 cr: one bank loan OR 1 crore securities of ₹100; investor with ₹1,000 gets 10`

Debt security terms; bond vs debenture ★★★★★

Term	Meaning
Principal / face value	Amount borrowed; each investor owed a share
Coupon	Interest rate as % of face value; frequency agreed (quarterly, semi-annual, annual)
Maturity	Date principal repaid; bond then extinguished

India: govt / PSU debt = **bond**; private corporate = **debenture** (old view: debentures secured, bonds unsecured) — terms now used interchangeably

Secured debt gives claim on assets; unsecured does not

Listed bonds trade on NSE/BSE; unlisted held to maturity

Bond structures ★★★★★

Structure	Feature
Plain vanilla	Fixed coupon, issued and redeemed at par (₹100)
Zero coupon	No coupons; issued at discount, redeemed at FV (or issued at FV, redeemed at premium); long ZCB = **deep discount bond**
Floating rate	Reset vs benchmark (e.g. 1-yr G-sec + 50 bp, semi-annual); 'variable / adjustable rate' when reset ≥ 1 yr — common in housing loans
Deferred interest	No coupons in first 1–3 years
Step-up	Coupon rises over time
Callable	**Issuer** may redeem early — used when rates fall; investor loses high coupon
Puttable	**Investor** may seek early redemption — useful when rates rise
Amortising	Principal repaid over life (auto, consumer, home loans); maturity = last payment

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Box 2.1 ZCB: ₹4,280 cr, secured by receivables; FV ₹100;
Series 1 at ₹85.80, Series 2 at ₹82.55
Box 2.2 callable: XYZ Bank, CARE AAA, FV ₹10,000, 9.75%
annual, 10 yrs, call after 5 yrs + 1 day
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Classification of debt; money market securities ★★★★★

- By borrower: government vs non-government; by tenor: up to 1 yr = **money market**; longer = capital market (not mutually exclusive)
- Central govt securities = no default risk (can tax, borrow, print money); quasi-govt = state, local, municipal
- Company fixed deposits: rated but **unsecured**, not securities, no liquidity
- All money market securities issued at **discount**, redeemed at par (zero coupon)
- Call, term money and inter-corporate deposits create no security — excluded

Instrument	Point
Repo / reverse repo	Borrow against G-secs, SDLs, select corporate bonds; repo for borrower = reverse repo for lender
Tri-party repo	On CCIL or exchange platform; CCP guarantees, collects margins (regular repo settled bilaterally)
CD	Banks; tradable but rarely traded
T-bills	Central govt; **91, 182, 364 days**; RBI auction; listed soon after
CP	Companies; must be rated but unsecured; up to **364 days**; **90-day** most popular

Money market participants: banks, PDs, FIs, MFs, PF/pension funds, companies, govt

Government securities ★★★★★

- Fund fiscal deficit; RBI electronic auction; **half-yearly issuance calendar**; tenor 1 to **40 years**
- Dated securities: fixed coupon, **semi-annual** interest, redeemed at par; also T-bills, FRBs, ZCBs, inflation-indexed bonds
- G-sec rate = benchmark; others pay a spread (10-yr G-sec 8.4% → corporate pays more)
- Listed on issue; > **90%** of long-term debt trading is G-secs; concentrated in benchmarks (1, 5, 10, 15, 30 yr)

Corporate bonds; special bonds ★★★★★

- Segments: PSU (incl. public FIs) and private corporate; PSU & institutional dominate; financial sector ≈ **70%** of issuance, manufacturing ≈ 30%
- Tax-free bonds: PSUs (infra) authorised by govt; interest tax-free
- Capital gains bonds: NHAI, NABARD, NHB etc. — save LTCG tax under **Section 54EC**
- **Credit spread** = corporate yield − G-sec yield; higher rating → lower spread

Bond	Feature
Masala bond	Issued **abroad** by Indian companies in **rupees**; currency risk on foreign investor; first by **IFC**, listed on **London Stock Exchange**
Green debt securities	For renewable energy, clean transport, climate adaptation, green buildings, biodiversity; part of ESG; Sovereign Green Bonds announced in Budget FY 2022-23
Bharat Bond ETF	Tracks Nifty Bharat Bond Index (AAA PSU bonds); fixed tenure (5 & 11 yr series); very low cost; taxed like debt funds
Tri-party repo on corporate bonds	Exchange platform, anonymous, order matching; basket repo **1–7 days**; eligible securities chosen by clearing corporation

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Box 2.3 LMN NCD: ₹500 cr + green shoe ₹3,000 cr; CRISIL
AA/Stable; min ₹10,000 (10 NCDs)
Series I–V: 3y 9.85% annual · 5y 10% · 7y 10.15% · 5y
9.57% monthly · 3y cumulative → ₹1,368.02 per ₹1,000
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Benefits & risks of debt ★★★★★

Benefits: **fixed income** (legal right; suits retirees) · **fixed tenor** (capital tied up for limited time)

Risk	Meaning
Inflation / purchasing power	8% bond loses in real terms if inflation > 8%; coupons can't rise
Default / credit	All except G-secs; rating is a guide; secured lower risk → company FDs pay more
Reinvestment	Coupons taken out may be reinvested at lower rates; cumulative option reinvests at bond's rate
Call	Issuer calls when rates fall → reinvest lower
Liquidity	Thin market, institution-dominated → hold to maturity; can't profit from price rise or switch when rates rise; credit quality may fall

Choosing debt or equity as investor ★★★★☆

Factor	Debt	Equity
Need	Regular income (retirees)	Growth
Horizon	Short (debt issued 7 days – 30 years; most common 90 days – 7 years)	Long
Risk appetite	Lower; principal returned on maturity (default risk)	Higher; no assured dividend or principal
Review	Buy and hold	Active review and trading

Convertible debentures ★★★★★

- Pay coupon; at redemption investor may take shares instead of cash
- Terms fixed at issue: conversion date · ratio · price (usually below market) · portion converted

Type	Conversion
FCD	Whole face value converted
PCD	Part converted; rest stays debt, earns interest, redeemed
OCD	Converted at holder's option

Issuer: lower coupon, no repayment — but existing holders diluted

Investor: coupon early, upside after conversion

Depository receipts ★★★★★

DR	Listed
ADR	US exchange (e.g. NYSE)
GDR	Exchange outside the US
IDR	**India**, with foreign shares as underlying

Represent local company shares, traded abroad, in foreign currency (usually USD)

Shares lodged with a custodian bank which authorises DRs; may be convertible to shares

DR issue process & IDRs ★★★★☆

- **Sponsored issue**: existing shareholders offer shares for conversion into DRs; or company issues **fresh** shares (funds repatriated to India within set time)
- Steps: meet foreign exchange listing rules → appoint depository bank → deliver shares to its local custodian → each DR = set number of shares → DRs issued to brokers
- **Two-way fungibility** (if allowed): shares ↔ DRs
- DR holders get dividends and appreciation but **no voting rights**
- IDRs: limit on money raised, lock-in on conversion; only **resident Indians**, not FPIs

FCCBs ★★★★★

Rule	Detail
What	Foreign-currency (usually USD) debt convertible into equity before maturity; interest and principal in foreign currency
Conversion price	Usually at a **premium** to market price
Benefit	Cheaper, quicker debt abroad
Eligibility	Not eligible for domestic equity → not eligible for FCCB; unlisted issuers must list in India within set time
Regulation	RBI under **FEMA**; Issue of FCCBs and Ordinary Shares (Through Depository Receipt Mechanism) Scheme **1993**; within RBI limits
Placement	Public via international lead manager; private to banks, FIs, foreign collaborators
Maturity	Not less than **5 years**
Expenses	Max **4%** of issue (public), **2%** (private placement)

Warrants ★★★★★

- Company-issued option to subscribe to shares at set price on/after set date; longer life than exchange stock options (1–3 months)
- Pay **25%** upfront; balance on exercise; not exercised → amount **forfeited**
- Company gains if exercise price > current price (captures expected rise); investor locks future price for 25%

```
ABC at ₹180; 4,00,000 warrants at ₹220; upfront = 25% × 4,00,000 × 220 = ₹2.20 crore
```

Commodities as an asset class ★★★★☆

Category	Examples
Soft / agri	Sugar, tea, coffee, cocoa, corn, wheat, soya bean
Bullion	Gold, silver
Base metals	Copper, zinc, aluminium, nickel
Energy	Crude oil, natural gas

'Real' assets, react directly to macro conditions

Physical holding: storage & insurance costs; needs knowledge of weather, inventories, preferences

Roles: **inflation hedge** · **low correlation** with equity and debt → diversification

Shares of commodity producers are not a pure play (company risk: debt, imports, policy); direct route = commodity ETFs, MFs, derivatives

Derivatives — features & roles ★★★★★

- Value derived from underlying; OTC and exchange; exchange-traded in India = futures and options
- Call = right to buy; put = right to sell; strike/exercise price; expiry date → short shelf life
- Contracts designed by exchanges, approved by regulator (size, quote unit, tick, grade, hours, cycle, expiry, delivery, price limits)
- **Under-funded** (margin only) · **leveraged** · often more liquid than cash market · risky

```
ABC ₹100, margin 10% → ₹100 margin controls 10 shares (₹1,000) → 10× leverage
```

Roles: price discovery · risk transfer (hedging) · diversification into currencies and commodities

Derivative segments in India ★★★★★

Segment	Key facts
Equity	F&O on indices (Nifty, Bank Nifty) and eligible stocks; index = **cash** settled; stock F&O = **physical delivery**; hedge systematic risk
Currency	INR pairs: USDINR, EURINR, GBPINR, JPYINR; cross: EURUSD, GBPUSD, USDJPY; all cash-settled in INR
Commodity	Options are on **futures**, not spot (futures regulated by SEBI, spot by state govts); expiry → futures position
Interest rate	IRF on G-secs, T-bills, MIBOR; IRO on G-secs; cash-settled

Asset allocation & diversification ★★★★★

Objective	Suitable investment
Growth	Equity shares & funds, real estate, gold
Regular income	Deposits, debt instruments & funds, real estate
Liquidity	Cash, bank deposits, short-term MF schemes
Capital preservation	Cash, bank deposits, ultra-short-term funds

Investor	Problem from concentration
Jayesh — only real estate	Can't sell or borrow fast (liquidity)
Kamal — savings account	Too little growth
Latika — all equity	Value fluctuates
Harmeet — gold jewellery	No regular income
Gayatri — bank FDs	Fixed interest, rising expenses (inflation)

Asset allocation: split across assets so a fall in one is cushioned; near retirement → more debt; young high earner → more equity

Diversification level 1: across asset classes; level 2: within class (different industries)

Works only if investments don't move together

Investment process factors ★★★★☆

- Manage return and risk (MFs diversify with small sums)
- Match horizon: young with no liquidity need → more equity
- Portfolio focus shifts: growth while saving for retirement → income after
- Ease of periodic investing and exit
- Flexibility: e.g. MIP growth option for low-risk investor who needs no income
- Regular information and updates

Price vs intrinsic value ★★★★★

- Intrinsic value = **discounted value of future benefits** (future earnings); price = market quote
- Intrinsic > price → **undervalued**; intrinsic < price → **overvalued**
- Markets not perfectly efficient; investing = exploiting inefficiency, not a formula
- Equity process: security selection · market timing (cycles: steel/construction slow more than FMCG) · sector & segment weighting

PE, PBV, dividend yield ★★★★★

```
PE = market price ÷ EPS ; EPS = PAT ÷ shares outstanding
PBV = market price ÷ book value per share (net worth per share)
Dividend yield = DPS ÷ market price
40% dividend on FV ₹10 = ₹4 ; price ₹200 → yield 2%
```

Measure	Signal
Market PE ≥ 22×	Overvalued zone
Market PE ≤ 12×	Undervalued zone
PBV < 1	May be undervalued
Falling dividend yield	Bull market
Rising dividend yield	Bear market

- Look at **prospective** PE when growth is expected
- Large known firms command higher PE than small risky peers
- Book value at cost less depreciation, not inflation-adjusted
- Dividend declared as % of **face value**; yield inversely related to price; PSU banks tend to have high yields

Equity research, analysis & valuation ★★★★☆

	Buy-side	Sell-side
Who	Institutional investors	Broking houses
Analysts	Generalists; question models, downside risk	Sector specialists; build models, meet management, arrange meetings

Approach	Meaning
Fundamental analysis	Financial statements → earning potential → intrinsic value; EIC framework
Technical analysis	Price & volume charts, support/resistance, trends, indicators
Top-down	Macro → sector → stock
Bottom-up	Stock → confirm with industry and macro
DCF valuation	Cash flow estimates + discount rate (risk); rigorous; estimates vary between analysts
Relative valuation	Compare with peers/sector averages; easy, finds over/undervalued; can carry market errors

- Sources: audited statements · analyst meets, plant visits · industry reports · govt/regulatory publications

Time value of money & bond pricing ★★★★★

```
₹1,000 at 8% simple for 2 yrs → ₹1,160 → today's money worth more
Compound today's money forward; discount future money back
Amit: 5-yr bond, FV 100, 10% annual, yield 8%
DF: 0.9259 / 0.8573 / 0.7938 / 0.7350 / 0.6806
PV: 9.26 + 8.57 + 7.94 + 7.35 + 74.86 = ₹107.98
```

- Later cash flow → lower PV
- Higher yield → lower PV
- 4 steps: coupons → redemption value → discount each at market yield → add

Yield, current yield, YTM ★★★★★

- Price, coupon, yield: know two → find third; price is what's quoted
- Bought below FV → yield > coupon; above FV → yield < coupon
- Yield and price move **inversely**
- **YTM** = rate equating PV of cash flows to price; standard debt quote

```
Current yield = coupon ÷ market price ; 12% bond at ₹109.50 → 10.95%
```

Debt investing process ★★★★☆

- Macro knowledge matters more than in equity
- Selection: retail → bank FDs, postal certificates, money market & short-term debt funds; institutions → money market, G-secs (liquidity), corporate bonds (return)
- Timing: buy long G-secs when interest rate cycle **peaks** (lock high yields)
- Credit spread narrow in boom, **widens in recession** → chance to buy highly rated bonds at good yields
- Weights (via MFs): ~20% in liquid funds; at rate peak more in **gilt funds**; least in credit risk funds in recession; non-experts → **dynamic bond funds**

Workbook sample answers ★★★☆☆

- Ranked last for profit and liquidation = equity shareholders
- Reserves belong to equity shareholders
- Intrinsic ₹50, price ₹35 → undervalued
- Rates rise after issue → bond quotes below face value
- Top-down starts with macro = True

03 Primary Markets

≈20 marks · 32 subtopics · chapter priority ★★★★★

Primary market — nature ★★★★★

- Issuers raise equity/debt from investors who buy **from the issuer**; 'new issue market'; 'going public'
- Private placement to a syndicate of institutions is also primary market (debt PP ≈ PE/VC deals but with debt)
- Issuer must work with a **merchant banker**: readiness, structuring, pricing, investor targeting, whole process, for a fee; may use syndicate / underwriting; distribution via brokers
- Securities (vs one-to-one deals) give outside investors regulatory protection, disclosure and exit via listing

Segment	Regulator
Equity primary market	SEBI
Govt securities	RBI (auction, predefined calendar; banks, PDs)
Corporate bonds	SEBI (public or private placement)
ADRs/GDRs	SEBI eligibility + **FEMA** foreign holding limits

Functions of the primary market ★★★★★

Function	Point
Tap larger markets	Move beyond promoters/banks; e.g. GDR in Euro markets
Competitive pricing	Price by demand/supply; G-secs by auction
Diversify ownership	Ownership and management separate; independent directors → better governance
Better disclosure	Adequate, relevant, accurate, verifiable information
Evaluation by investors	Extra scrutiny beyond auditors and regulators (analysts, media, activists)
Exit for early investors	Promoters, PE, insiders sell at a profit
Liquidity	Public issue must be listed → secondary trading
Regulatory supervision	Fair process, information, defined rights — no assurance of return

Primary vs secondary; market cycles ★★★★☆

- Secondary trades don't change the issuer's capital; its prices guide primary pricing
- **Bull market** → more IPOs at higher, issuer-friendly prices; **bear market** → hard to get subscription

Primary market intermediaries ★★★★★

Intermediary	Role
Merchant banker	Pricing advice, offer document, listing application, advertising, allotment; also underwriter for a commission
Book Running Lead Manager (BRLM)	Due diligence, drafting/vetting prospectus, compliance, marketing; post-issue: basis of allotment, escrow, coordinate bankers & registrars
Registrar (RTA)	Records of applications & money; helps basis of allotment; despatches allotment letters, refunds; STAs keep holdings, transfers, redemption, act as DPs
Bankers to the issue	Accept applications + money, refund unsuccessful; daily records
Brokers to the issue	Procure subscriptions; link investors and issuer
Depository & DP	Electronic holding by book entry; depository = **registered owner**, investor = **beneficial owner**; DP does dematerialisation
Debenture trustee	Appointed **before** debt issue; checks secured assets suffice; calls meeting if **one-tenth** of holders ask or on default
Portfolio manager	Discretionary (independent per client needs) or non-discretionary (as client directs)
Primary dealer	**RBI**-licensed underwriters of G-secs; commission; resell in secondary market

All registered with **SEBI** except primary dealers (authorised by **RBI**)

Types of issues ★★★★★

Type	To whom
Public issue	Anyone eligible
Private placement	Select institutions / eligible investors — wholesale
Preferential issue	Identified investors on preferential terms: promoters, strategic investors, employees
Rights issue	Existing holders on cut-off date buy more at set price
Bonus issue	Existing holders get shares **free**

A public issue often combines preferential, rights and private placement portions before retail opens

Types of issuers ★★★★★

Issuer	Securities	Notes
Central, state, local govts	G-secs, T-bills, **Sovereign Gold Bonds**	No equity · only **Central Govt issues T-bills** · govt guarantee · domestic only
PSUs	Equity, bonds	Disinvestment; bonds may carry tax concessions
Private companies	Equity, preference, bonds, convertibles, CP, securitised paper	High reliance on markets; may issue abroad
Banks, NBFCs, FIs	Equity, preference, bonds, convertibles, securitised paper, CP, CDs	Banks rely less on markets (deposits); Tier-2 capital via long bonds & preference; may issue abroad
Mutual funds	Units	Specific schemes; closed-end or open-ended; **domestic only**
REITs, InvITs	Units	Specific schemes

From **1 Jan 2026** REIT units count as **equity-related** for MF investment; InvITs stay hybrid

Types of investors ★★★★★

AOP · banks · companies · LLPs · FIs · MFs · insurers · FPIs · HUFs · minors via guardians · NRIs · PIOs · societies & clubs · resident individuals · partnership firms · trusts

Category	Rule
Retail Individual Investor (RII)	≤ **₹2 lakh** per issue
Non-Institutional Buyer (NIB)	> ₹2 lakh per issue
QIB	Institutions; internal governing-body approval; authorised staff transact

Debt markets dominated by institutions; equity has more retail

Foreign investors follow FX rules

Eligible investor categories stated in offer document

Regulatory framework ★★★★★

- Laws: **Companies Act 2013 · SCRA 1956 · SEBI (ICDR) Regs 2018 · Government Securities Act 2006 · Government Securities Regulations 2007**
- G-sec primary issue: **not under SEBI** (G-Sec Act & Regs); CDs and CPs governed by RBI
- Cover: eligibility, disclosures, reservations, offer methods, timelines, use of funds, promoter accountability, ongoing evaluation and exit
- Issuer can't be a sole proprietorship, partnership or AOP; equity needs a **limited company** (MCA registration)
- Deposit-taking banks/FIs/NBFCs need RBI approval; MFs must be SEBI-registered
- Instruments must be securities (SCRA) or deposits (Banking Regulation Act 1949 / Companies (Acceptance of Deposits) Rules 1975)

IPO eligibility (ICDR) ★★★★★

Test (restated, consolidated)	Requirement
Net tangible assets	≥ **₹3 crore** in each of preceding 3 full years; ≤ 50% monetary (else committed to use; limit waived if entirely OFS)
Average operating profit	≥ **₹15 crore** over preceding 3 years, profit in **each** year
Net worth	≥ **₹1 crore** in each of preceding 3 years
Name change in last 1 yr	≥ 50% of last year's revenue from activity in new name

Fails the tests → only via **book building** with ≥ **75%** of net offer to QIBs, else full refund

SR (superior voting) shares to promoters/founders → may IPO only ordinary shares on Main Board (main board = nationwide terminals, not SME exchange)

Promoters' contribution & lock-in ★★★★★

Item	Rule
Minimum contribution	≥ **20%** of post-issue capital
Shortfall	Up to **10%** of post-issue capital may come from AIFs, FVCIs, SCBs, PFIs, IRDAI insurers, non-individual holders with ≥ 5%, or promoter-group entities — without being promoters
No identifiable promoter	Requirement does not apply
Form	Equity (incl. SR shares) or convertible securities
Lock-in: minimum contribution	**18 months**; **3 years** if most proceeds (excl. OFS) go to capex
Lock-in: excess holding	**6 months**; **1 year** if mainly capex

Capex = civil work, misc fixed assets, land, building, plant & machinery

Minimum offer to public ★★★★★

Post-issue capital at offer price	Minimum public offer
≤ ₹1,600 crore	**25%**
₹1,600 – 4,000 crore	Shares worth **₹400 crore**
₹4,000 – 50,000 crore	**10%** (SCR Amendment Rules 2026)

Companies in the last two slabs must reach **25%** public holding within **3 years** of listing

Issuer with SR shares must list SR shares on the same exchange as ordinary shares

Issue period, underwriting, demat, IPO grading ★★★★★

Rule	Detail
Issue period	Min **3**, max **10** working days
Price band revised	Extend by ≥ 3 working days (within max)
Force majeure / bank strike	Extend by ≥ 1 working day, reasons in writing
Minimum subscription	**90%** of net offer, else refund all within **4 days** of closure
Underwriting	Fixed price: optional (SEBI merchant bankers/brokers); book built: **mandatory** by lead managers & syndicate — but the 75% QIB portion can't be underwritten
Demat	Agreement with **all depositories** required
IPO grading	Optional; by SEBI-registered CRAs; **1 (poor) to 5 (strong)** fundamentals; not a view on price; publish all grades

IPO: fresh issue vs offer for sale ★★★★★

	Fresh issue	Offer for sale (OFS)
Shares	New shares issued	Existing holders sell
Share capital	Rises	Unchanged
Money goes to	Company	Selling shareholders
Example (1,000 shares, X & Y 500 each)	Issue 500 → 1,500 shares; X, Y 33.33% each	Each sells 250 → X, Y 25% each, public 50%; capital stays ₹10,000

PSU disinvestment = OFS (proceeds to govt)

An IPO may combine both

Further public offer (FPO) ★★★★☆

- Company already listed raises more from public
- Eligibility: no name change in last 1 year, or ≥ 50% revenue from new-name activity; else book building with ≥ 75% to QIBs
- Uses: growth capital, retire debt; OFS-based FPO to raise public shareholding or after promoter lock-in ends

Fixed price vs book building ★★★★★

	Fixed price	Book built
Price	Set by issuer with lead manager; known at application	Discovered by bids within floor price or price band
Bidding	—	Bid price and quantity; retail may revise while open
Allotment	At fixed price	At **cut-off price**; bids at or above cut-off succeed

Book building — cut-off price (worked) ★★★★★

Bid price	Shares	Cumulative demand
₹144	1,000	1,000
₹140	1,500	2,500
₹135	2,500	**5,000**
₹130	1,000	6,000
₹120	500	6,500

5,000 shares, band ₹120–144 → filled at **₹135 = cut-off**; bids at ₹135 and above succeed

Issuer may set cut-off lower than the clearing price for investors' benefit

Retail discount to cut-off allowed, max **10%**

Allocation in the net offer ★★★★★

Category	Issuer meets profit/asset tests	Issuer fails tests (75% QIB route)	Non-book-built
Retail (RII)	≥ **35%**	≤ **10%**	≥ **50%**
Non-institutional	≥ **15%**	≤ 15%	Rest (with institutions)
QIB	≤ **50%** (5% of it for MFs)	≥ **75%** (5% of it for MFs)	—

NII portion: **1/3** for ₹2–10 lakh applications; **2/3** for > ₹10 lakh

Public issue process — steps ★★★★★

- Board + shareholder resolutions
- Appoint lead manager (investment / merchant banker, issue manager); LM appoints RTA, bankers, brokers, underwriters; pricing set with issuer
- In-principle approval of stock exchange · optional IPO grading · agreements with **both** depositories
- Draft prospectus to **SEBI** → SEBI changes → file with **Registrar of Companies**; LM signs **due diligence**
- Marketing: adverts in national papers, analyst/broker meets; every form carries an **abridged prospectus**
- Bids via brokers, SCSBs, RTAs, DPs — **ASBA only** (retail may use UPI)
- Banks & RTA reconcile daily → final collection certificate → cut-off set (book built)
- Basis of allotment finalised **with the stock exchange** → shares credited to demat, rejected amounts unblocked → listing and trading

Constituents of a public issue ★★★★☆

Constituent	Duties
RTA	Pre-issue: design forms, bidding procedures · issue: daily collection data, cut-off collation, reconciliation · post-issue: scrutiny, rejections, basis of allotment (with LM, issuer, exchange), allotment, statutory reports
Bankers to issue	Collection branches in mandatory centres; collection updates decide closure
Brokers / syndicate	Exchange members; collect bids with blocking authorisation; commission by collection
Underwriters	Brokers & merchant bankers; fixed price optional, book built mandatory; 90% minimum subscription **includes** underwriters' take-up

All constituents registered with SEBI; roles laid out by SEBI

Prospectus & red herring prospectus ★★★★★

Document	Use
Prospectus	Fixed-price issue; format by SEBI + Companies Act
Red herring prospectus (RHP)	Book-built issue; price band (or issue size) but no final price; preliminary RHP filed before opening; final price added after closure, signed prospectus filed

Contents: issuer, promoters, board, key staff, business · objects of issue · dates, LM, RTA, bankers, listing · terms, application, allotment, refund · financials, capital structure, accounting policies · statutory disclosures · **risk factors**

Prospectus information updated annually

SEBI may reject draft if...	
Promoter contribution non-compliant	
Use of proceeds unclear or creates no tangible assets	
Misleading business model	
Inconsistent financials	
Litigation risking business	

Applying to a public issue ★★★★★

Rule	Detail
Exchange IPO bidding	Screen-based via broker terminals; **10 am – 5 pm**; LM may extend on closing day
e-IPO (since 2013)	Bid through **any** exchange broker, appointed or not
Price band announced	≥ **2 working days** before opening
Minimum application	**₹10,000 – 15,000** (minimum bid lot)
Bid at cut-off	Accept discovered price → application always accepted
Revision	Any time before close (form or online)
Payment	**ASBA only**; submitted to the Self-Certified Syndicate Bank (SCSB) holding the account
UPI	Phased from **1 Jan 2019**; mandatory for individuals up to **₹5 lakh** from **1 May 2022**; SMS alerts for block/unblock
Extra channels	Online ASBA (SCSB portal) · physical ASBA (SCSB branch) · broker's linked trading-demat-bank account

Oversubscribed → **proportionate** allotment, excess unblocked; undersubscribed → all valid bids at/above cut-off allotted

Offer documents on SEBI and lead manager websites

Basis of allotment (worked) ★★★★★

Bid (shares)	Applications	Shares applied	Allotted each (÷1.52)	Total allotted
20	100	2,000	13	1,300
30	150	4,500	20	3,000
40	200	8,000	26	5,200
50	160	8,000	33	5,280

Retail oversubscribed **1.52×**; each category separately (retail, NII, QIB)

Bidder for 20 gets 13, 7 unblocked

Minimum allotment = minimum application size

Basis approved by company board, published in national newspapers

Green shoe option ★★★★★

- Extra allotment up to **15%** of issue size
- Proceeds in separate account; used to buy shares if price falls **below issue price** after listing
- Stabilising agent (usually lead manager) acts for **30 days** from listing

Listing ★★★★☆

- Listing agreement + listing fee + rules on price-sensitive information, investor service, governance
- Brings liquidity and fair price discovery; price can be above or below issue price

Company	Issue	Current	Change
ABC Infra	15	44.90	+199.33%
XYZ Retail	10	16.60	+66%
MNP Microfinance	985	565.80	−42.56%
DEF Restaurants	150	157	+4.67%

Rights issue ★★★★★

- Companies Act: new shares must **first** be offered to existing holders — avoids dilution (10 lakh → 20 lakh shares halves stake)
- Ratio set by board (1:1 doubles capital; 1:2, 2:3, 2:5…)
- Listed company fixes a **record date**; draft letter of offer to SEBI; abridged letter of offer to all holders; may apply on plain paper
- Open **7 to 30 days**; entitlements credited to demat
- Payment by **ASBA only**; offer document and entitlement form may be emailed
- **Renunciation**: decline or sell entitlement; entitlements trade separately and stop trading before issue closes

Public issue of debt — rules (NCS Regs 2021) ★★★★★

Rule	Detail
Eligible issuer	**Public limited company**; even unlisted companies may issue and list debentures; issuers incl. PSUs, statutory corporations, REITs, InvITs
Offer document	Draft filed with **stock exchanges** (via LM), open for public comments → final to RoC; LM gives due diligence certificate to SEBI first
Shelf prospectus	File once with RoC, issue in tranches (tranche prospectus); for PFIs, scheduled banks, CBDT tax-free bond issuers, infra debt funds, listed entities, eligible NBFCs/HFCs
Listing	**Mandatory**; in-principle approval before filing draft
Credit rating	≥ **1** SEBI-registered CRA; disclose all ratings obtained
Minimum subscription	**75%** of base issue, else unblock (interest if delayed); tax-free bonds exempt
Demat	Agreement with a depository
Debenture trustee	SEBI-registered banks/FIs; check security adequacy
Debenture Redemption Reserve	Transfer part of profits each year until redemption
Security	Disclose charge; assets free of encumbrance or prior creditor consent for second/pari passu charge
Unsecured debentures	Treated as **deposits** → Companies (Acceptance of Deposits) Rules
Coupon	Set with LM, or by book building

Public issue process — debt ★★★★☆

Issuer must not be a **wilful defaulter** or barred from market

Steps: board + shareholder resolution → draft to exchanges & SEBI → final to RoC → listing application → demat → adverts → **debenture trust deed** → rating → compliance → allotment / unblock → listing

G-sec primary issue ★★★★★

- RBI auctions on behalf of govt; calendar every **six months**
- Competitive bids: only those with **current account + SGL account** at RBI (SCBs, PDs)
- Non-competitive: co-op banks, NBFCs, MFs, pension funds, companies — allotted at **weighted average** price/yield
- Retail via **stock exchanges** (RBI 23 Nov 2017): brokers take bids till cut-off; exchange submits one consolidated non-competitive bid, then allocates per investor

Private placement & preferential allotment ★★★★★

- Offer to ≤ **50 persons** (Companies Act 2013); SEBI public-issue rules don't apply
- Offer by name to identified persons; details filed with RoC; payment through banks only, **no cash**; **no advertising** or distribution channels
- May list if SEBI/exchange rules met; any company, listed or not
- Pros: informed investors, less compliance, faster, cheaper

Preferential allotment = private placement of shares or convertibles (FCDs, PCDs, warrants) by a **listed** company: shareholder resolution · SEBI pricing formula · promoter allotment locked in

Qualified Institutions Placement (QIP) ★★★★★

Rule	Detail
What	Listed issuer places eligible securities with QIBs privately; includes promoter OFS via QIP
Eligibility	**Special resolution**; listed ≥ **1 year** before notice
Promoter OFS	To reach **25%** minimum public shareholding (SCR Rules 1957)
Bidding	ASBA only; no downward revision or withdrawal after close
MF quota	≥ **10%** to mutual funds (unsubscribed part to other QIBs)
Price	SEBI formula
Resale	Within 1 year only on a recognised exchange

Eligible securities: equity, non-convertible debt with warrants, convertibles other than warrants

Electronic Book Provider (EBP) for private debt ★★★★★

Rule (as stated in this workbook)	Detail
Mandatory for	Single issue ≥ **₹50 crore** (incl. green shoe) · shelf ≥ ₹50 crore in FY · subsequent issue taking FY total ≥ ₹50 crore · issuers < **3 years** old · bank/NBFC non-equity regulatory capital
Registration	Issuer, arrangers, QIBs, custodians register with exchange
Documents	PPM, term sheet ≥ **2** working days before (first-time issuer: **5**); disclose bidding mode, allotment manner, settlement, cycle
Announcement	≥ 1 working day before bidding
Bid cap via arranger	Lower of **₹100 crore** or **5%** of base issue; FPIs via custodians
Allotment	Price-time priority (coupon fixed) or yield-time priority (coupon discovered)
Fairness	No selective preferential access

TRAP The Series XII workbook still gives the older EBP thresholds (₹50 crore; 5 working days for a first-time issuer). SEBI's May 2025 revision, used in the V-D workbook, cut these to ₹20 crore and 3 days. For the XII exam, answer with the XII workbook figures.

Workbook sample answers ★★★☆☆

Retail investor = invests ≤ ₹2 lakh | OFS proceeds go to existing shareholders | Mandatory listing = all shares issued through a public offer | Heavy oversubscription → fewer shares per investor | Public issue of debt → must be credit rated

04 Secondary Markets

≈20 marks · 40 subtopics · chapter priority ★★★★★

Role of the secondary market ★★★★★

- Trades between investors; issuer gets **no new capital**; instruments include listed issues, privately placed securities, derivatives

Role	Point
Liquidity	Exit/entry for perpetual, risky, long-term securities at low cost, quickly
Price discovery	Rising demand signals good prospects; FV ₹10 share at ₹100 → new issue priced near ₹100
Information signalling	Prices monitor issuers continuously; efficient market = prices reflect all information
Economic barometer	Indices (S&P BSE Sensex, NSE Nifty 50): sustained rise = growing economy
Market for corporate control	Underperformers become cheap takeover targets; threat alone improves governance

Bull market: optimism, expansion → overshoots intrinsic value, rising costs → crash

Bear market: stress, falling prices below intrinsic value → value buyers, lower rates → next bull cycle

Secondary markets by asset ★★★★★

Market	Key facts
Equity	Stock exchanges (MIIs, SEBI); clearing corporation = **central counterparty**, guarantees settlement; **interoperability** lets trades clear at another exchange's CC; intra-day and EOD data published
Debt — G-secs	RBI; pre-2005 OTC by phone, SGL form + cheque; **CCIL** set up **2001**; runs **NDS-OM** (anonymous, order-driven, owned by RBI); guaranteed settlement; NDS-OM for institutions, retail on exchanges
Debt — corporate	SEBI: OTC trades reported on exchanges, central database, clearing via exchange CCs, dedicated debt segment
Commodity spot	State govts; APMC mandis (licensed traders); **e-NAM 2016** — 'One Nation, One Market', online bidding, e-payment, assaying

Participants & stock exchanges ★★★★★

- Participants: exchanges · clearing corporations · investors · issuers · intermediaries · regulator
- National exchanges: **BSE, NSE, MSEI**
- Trade only through **members** (brokers) and their APs; members meet capital, qualification, net worth tests; may be trading and/or clearing members
- Investors trading directly among themselves = '**off-market**' — no regulatory protection or redressal
- Investor completes KYC with broker → gets **Unique Client Code (UCC)**
- Listed securities: equity, corporate bonds, debentures, G-secs, T-bills; listing criteria on size, public holding, rating, ownership; listing fee + disclosure

Trading, clearing, settlement ★★★★★

- Trading = buy/sell on exchange (electronic order matching); then buyer owes money, seller owes shares
- **Clearing** = working out what each party owes; **settlement** = discharging it
- Settlement cycle: T+2 → **T+1**; optional **T+0** added alongside T+1
- Risk management: member capital + margins → high liquidity and **guaranteed settlement**

Clearing corporation, depositories, custodians ★★★★★

Entity	Role
Clearing corporation	Wholly owned subsidiary of exchange; counterparty to every trade; buyers pay CC, sellers deliver to CC; via clearing members
Interoperability	Consolidate clearing at one CC whatever the exchange; all recognised CCs except IFSC; all products except **commodity derivatives** (27 Nov 2018)
CCs	NSE Clearing Ltd · Indian Clearing Corporation Ltd (ICCL) · Metropolitan Clearing Corporation of India Ltd (MCCIL)
Depositories	**NSDL** and **CDSL**; securities must be demat to trade
DPs	Banks, brokers; demat account ≈ bank account for securities; DP tells depository of ownership change; money via clearing banks
Custodians	Hold funds & securities for banks, insurers, MFs, FPIs; settle their trades; many are also clearing members/banks

Regulator & IFSC ★★★★★

- SCRA 1956 + **SCR Rules 1957**; SEBI implements, delegates trading, membership, listing administration to exchanges

IFSC item	Fact
What	Finance to/from offshore customers; global IFSCs: London, New York, Singapore, Dubai, Shanghai
India's first	**GIFT City**, Gandhinagar; regulator IFSCA
Exchanges	**NSE IX** (NSE) and **India INX** (BSE): foreign shares, DRs, debt, FX, rate & commodity derivatives; Indian index/stock F&O in **USD**; IOSCO/FATF compliant
Tax	Exempt from STT, CTT, capital gains tax, income tax
IIBX	India International Bullion Exchange: bullion spot and bullion DRs; bullion imports routed through it
SGX Nifty	Since **July 2023** traded only on NSE IX; SGX Nifty delisted

MII governance — Gandhi Committee ★★★★☆

- MIIs = exchanges, clearing corporations, depositories; SEBI norms Dec 2012
- **R. Gandhi** (ex-RBI Deputy Governor) committee report **March 2018**: widely held ownership · MD renewal after board review · unrelated activities need SEBI approval · KMP identified by NRC/board, pay aligned with global principles · transparent KMP pay · fewer overlapping committees
- Functional committees: Member · Grievance Redressal · Nomination & Remuneration · Oversight
- Oversight committees: Standing Committee on Technology · Advisory · Regulatory Oversight · Risk Management
- **Public Interest Directors** chair each committee; every MII needs a **BCP** and **Disaster Recovery Site**

Brokers & authorised persons ★★★★★

- Broker = SEBI-registered exchange member trading on screen; AP = broker's agent (ex sub-broker), registered with exchange
- Can be individuals, firms, companies (incl. bank subsidiaries); must display membership details
- Own-account trades = **proprietary**
- SEBI registration: exchange eligibility, office, equipment, staff, experience; **base minimum capital** with exchange; exposure capped at a multiple of it
- Brokerage: maximum set by each exchange

Broker duty	Timeline
Separate client and proprietary accounts; client funds separate	
Contract note	Within **24 hours** of execution
Collect funds/securities	Before pay-in day
Pay or deliver to client	Within **24 hours** of pay-out
Compliance officer	Monitors rules and grievances

Client acquisition & documents ★★★★★

KYC + **in-person verification (IPV)** before account opening

KYC: personal (name, gender, marital status, PAN, residential status, UID) + proof · address + proof · income, occupation, net worth · bank & demat details · regulatory action in last **3 years**

Documents given: Rights & Obligations (incl. internet/wireless trading) · Uniform **Risk Disclosure Document** · Do's & Don'ts guidance note · index of documents · **tariff sheet** · contacts of senior officials and exchange grievance cell

Policies published: inactive accounts · exposure limits · brokerage · delayed payment charges · right to sell securities / close positions without notice for non-payment · shortages from internal netting · when positions may be refused/closed · suspension at client request · deregistration

Secure client access (user ID, password) to positions and statements

3-in-1 account; PoA → DDPI ★★★★★

- 3-in-1 = savings + demat + trading; bank-led (broking via subsidiary) or broker-led (bank elsewhere); single form, common KYC
- Bank/demat accounts can't be used through it except to settle trades
- Benefits: less paperwork, convenience, real-time efficient trading

	Power of Attorney (old)	DDPI (now)
Status	Voluntary but needed for online 3-in-1; brokers forced and misused it	Separate system by exchanges, CCs, depositories
Permitted use	Transfer securities for pay-in; pledge/re-pledge for margins	Same limited purposes only
Revocation	—	Client may revoke any time

After DDPI, PoA can no longer be executed for these purposes

Trading systems ★★★★★

System	Exchange
BOLT	BSE On-Line Trading
NEAT	National Exchange Automated Trading (NSE)
TWS	Trader Work Station (MSEI)

Mode	Points
Open outcry	Physical floor shouting — replaced in India by screen trading
Mobile trading	Easy, live alerts; preferred by young investors; problems: connectivity, small screen, speed
Algo trading	Rule-based program (e.g. buy above 10-day moving average); splits large orders; speed, accuracy, no emotion; risk = design errors (exchanges require testing)
HFT	Subset of algo; huge tech spend; holding seconds/minutes; very high order-to-trade ratio; flat by end of day; uses co-location
Co-location	Broker servers at exchange premises → lower **latency** (order sent to received); fee-earning for exchanges

Sequence: place order → broker routes → displayed → matched → confirmed → **contract note**

Orders & identifiers ★★★★★

- Order must state company, buy/sell, quantity; price optional; identified by **UCC**
- **ISIN** = unique **12-character** code in depository system (Hindalco: symbol HINDALCO, ISIN INE038A01020)

Order	How it works
Limit	Price set; buy at limit or lower (buy ABC Bank 2,500 when at 2,600); sell at limit or higher; lapses end of day
Market	Any current price; immediate; rarely unfilled
Immediate or Cancel (IOC)	Fill at once; unfilled part cancelled immediately
Stop-loss	With a buy/sell; opposite limit order fires at **trigger** (buy 1,000 XYZ at 1,000, stop sell at 990; sell at 1,000, stop buy at 1,010); kept in stop-loss book; mainly intraday; unexecuted cancelled at day end
Disclosed quantity	Shows only part of a large order; only broker knows the split
Day vs GTC	Indian exchanges allow **day orders only**; brokers may re-enter 'GTC' orders next day
Modification	Until matched; none after

Trading hours & pre-open ★★★★★

Segment (NSE)	Hours
Equity	**9:15 am – 3:30 pm**
Equity derivatives	9:15 am – **3:40 pm** (as stated in this workbook)
Debt	9:00 am – 5:00 pm
Pre-open	**9:00 – 9:15 am**: order entry 9:00–9:10 (random close in last 2 min) · matching 9:10–9:12 · buffer 9:12–9:15

Monday–Friday except holidays

Pre-open sets opening price and spreads out the opening rush

Brokers may use their own front-end software linked to exchange

Electronic order matching ★★★★★

- Buy order = **bid**; sell order = **ask**; buyer gets ≤ bid, seller ≥ ask
- **Order-driven** (computer matches) · **transparent** (all quotes visible) · **anonymous**
- **Price-time priority**: best price first (₹285 bid before ₹280); same price → earlier order first
- Unique order numbers → full audit trail for disputes

Reading the order book (worked) ★★★★★

Buy qty	Bid	Ask	Sell qty
4	131.95	132.05	1,437
8,169	131.90	132.10	4,046
6,180	131.85	132.15	4,885
6,698	131.80	132.20	10,997
9,201	131.75	132.25	32,151

Highest bid on top (picked first); lowest ask on top

Bid-ask now **131.95 – 132.05**; trade needs a higher bid or lower ask

Buy limit at 131 or sell at 132 unlikely to match

Unmatched order stays till day end or cancellation

Trade confirmation slip: trade no., price, quantity, time, order no.; a market order may fill at several prices

Active vs passive orders; DMA ★★★★★

	Active	Passive
What	At market price; match at once (market orders)	Rest in book away from market (limit orders); LTP 105.10 → buy 102.45 / sell 107.70
Liquidity	**Drains** — 'reactive'	**Adds** depth — 'proactive'

- **Direct Market Access** since **2008** for institutional clients: orders go straight to exchange book, bypassing broker server (after broker authorisation, due diligence, KYC)
- Benefits: lower latency, faster execution, fewer manual errors, lower cost

Bulk deals vs block deals ★★★★★

	Bulk deal	Block deal
Size	> **0.50%** of listed shares (one or many trades in a day)	Min **₹25 crore**, single transaction
Window	Normal market, visible to all	Special window: **8:45–9:00 am** and **2:05–2:20 pm**; not visible in normal window
Price	Market	Within ±**3%** of reference: morning = previous close; afternoon = VWAP 1:45–2:00 pm
Reporting	Broker reports immediately; exchange discloses same day after hours	Disclosed same day after hours
Settlement	Normal	**Delivery only**, no square-off or reversal

Block deals are negotiated outside, executed on exchange to avoid moving the price and keep confidentiality (block deal framework reviewed 8 Oct 2025)

Circuit breakers & price bands ★★★★★

- Automatic trading halt on rapid move in index or stock — time to reassess, avoid panic and settlement crises
- Stock price bands: **2%, 5%, 10% or 20%** by liquidity, volatility; exchange may narrow
- F&O stocks have **no price band** (operating range against errors); index stocks without derivatives get suitable bands
- Market-wide breaker: Sensex **or** Nifty 50, whichever first; halts equity and equity derivatives; limits from previous close; reopens with pre-open call auction

Index move	When	Halt	Pre-open after
10%	Before 1 pm	45 min	15 min
10%	1:00 – 2:30 pm	15 min	15 min
10%	After 2:30 pm	No halt	—
15%	Before 1 pm	1 hr 45 min	15 min
15%	1:00 – 2:00 pm	45 min	15 min
15%	2 pm or later	Rest of day	—
20%	Any time	Rest of day	—

Contract note ★★★★★

- Confirmation of the day's trades; proof in disputes; shows trade, settlement, brokerage, STT, GST
- Valid if: signed by authorised signatory · SEBI/exchange format · client UCC & PAN · broker name, address, SEBI reg. no. · order no., trade no., time, security, qty, price, brokerage, settlement no., STT, GST, penalties · trade price and charges shown separately · **arbitration clause**
- Issued within **24 hours**; two copies — client signs and returns broker's copy
- **ECN** by email only with client consent; digitally signed, tamper-proof, password-protected; also on broker website
- Client checks against trade confirmation slip; reports discrepancies

Cost of trading — user charges & statutory levies ★★★★★

- Three types: **user charges** (brokerage, exchange transaction charges, DP charges) · **statutory levies** · **spread & impact cost**
- Max brokerage set by exchange regulations; intraday cheaper than delivery; big clients negotiate

STT — equity segment	Rate	Paid by
Delivery purchase of equity share	0.100%	Buyer
Delivery sale of equity share	0.100%	Seller
Delivery sale of equity fund unit	0.001%	Seller
Non-delivery (intraday) sale of share / equity fund / business trust unit	0.025%	Seller

STT — derivatives	Rate	Paid by
Sale of option	0.15% of premium	Seller
Option exercised	0.15% of intrinsic value	Buyer
Sale of futures	0.05% of traded price	Seller

GST **18% on brokerage**; STT and GST go to **Central Govt**

Stamp duty: uniform national rates (from 1 Jul 2020); collected for **state govts** by exchanges/CCs/depositories (also CCIL, RTAs), who keep a small share

SEBI turnover fee: **0.0001%** (₹10 per crore) non-debt; **0.000025%** (₹2.5 per crore) debt

Bid-ask spread & impact cost (worked) ★★★★★

Buy qty	Bid	Ask	Sell qty
1,000	350	400	2,000
1,000	340	405	1,000
2,000	340	420	500
1,000	330	425	100

```
Buy 1,000 at 400, sell at 350 → spread ₹50
Ideal price = (350 + 400) ÷ 2 = 375
Impact cost = 25 ÷ 375 = 6.67%
```

Illiquid → wider spread

Lower impact cost = more liquid, cheaper (BSE June 2019: Cipla 0.03%, Bank of India 0.05%, SKF 0.12%, Reliance Power 0.15%)

Total trading cost (worked, ₹1 lakh) ★★★★☆

Item	Rate	₹
Brokerage	0.3%	300
DP charges	0.02%	20
STT	0.1%	100
GST	18% of brokerage	54
Stamp duty	0.015%	15
SEBI turnover tax	0.0001%	0.10
Total	**0.4891%**	**489.10**

Institutions usually pay less brokerage; rates differ for equity, debt, derivatives

Some exchange/regulator charges are borne by brokers

Delivery vs square-off; T+1 ★★★★★

- Rolling settlement: trades of day T settled on **T+1** = delivery trades ('inter-day')
- T+1 phased from **Feb 2022**; all equity, ETFs, bonds in equity segment on T+1 since **27 Jan 2023**
- Square-off: buy and sell same stock same day (or sell then buy back) → net nil = **intraday / day trading**; lower brokerage and levies

Settlement obligations & netting ★★★★★

- Settlement cycle = T to completion; each has a settlement number
- Institutions, FPIs, NRIs, PMS clients settle through **custodians**
- Netting at client level, then member level across all securities

Trades in cycle	Net result
Buy 100, sell 50 XYZ	Receive 50 XYZ, pay
Buy 100 MNO	Receive 100 MNO, pay
Buy 50, sell 150 DEF	Deliver 100 DEF, receive funds

Only net positions settled = **net settlement** (vs gross)

Steps: obligation identified & confirmed → **pay-in** (securities/funds to CC) → **pay-out** (CC to members)

Not delivered → **auction**; delivered but rejected by depository (wrong signature/details) = **bad delivery**

Margins in the cash market ★★★★★

```
Buy 100 X at ₹100 on 3 Jul → pay ₹10,000 by 4 Jul; margin 17% → ₹1,700 upfront
Price falls to ₹80 same day → notional loss ₹2,000 → default temptation
```

Margin	Rule
VaR margin	Multiple of volatility, % of price; updated ≥ **5 times** a day
Extreme Loss Margin	**3.5%** for any stock
Mark-to-market	Transaction vs closing price; payable at start of next day

Both buyers and sellers pay margin; brokers collect at order, exchanges at execution

More volatile stock → higher margin

Upfront VaR + ELM collection mandatory; no short-collection penalty if broker collects ≥ **20%** upfront

Cross-margining ★★★★★

- Lower margin when cash and derivatives positions offset (long MNO shares + short MNO futures)
- Spread margin = **25%** of applicable upfront margin on offsetting positions; normal margin on the rest
- Highly correlated equity indices: spread margin **30%**
- Benefit = margin on total portfolio − margin excluding offsets − spread margin

Eligible: index futures vs constituent stock futures · index futures vs constituent cash stocks · cash stock vs its futures · ETF vs constituents · ETF vs constituent futures · ETF vs index futures

Helps arbitrageurs and hedgers

Short delivery & funds shortage ★★★★☆

- Short delivery or bad delivery → CC **auctions** shares for buyer; member pays shortage × last closing price on settlement day + any auction difference
- Funds shortage → penal charge daily until paid; trading/clearing facility withdrawn; repeat defaulters keep 'funds shortage collateral'

Corporate actions & price adjustment ★★★★★

- Stock benefits: bonus, rights, split, merger, warrants; cash benefit: dividend
- **Record date**: holders on record get the benefit (1:1 bonus → one extra share each)
- **Cum** = price includes benefit; **ex** = buyer no longer gets it (price drops by dividend)
- Exchange adjusts prices after close on last cum day so position value is unchanged

```
Split FV ₹10 → ₹2, price ₹500 → 5 shares at ₹100 each
```

Interoperability of clearing corporations ★★★★★

- Each exchange must have its own CC (separate legal entity); earlier brokers needed membership and margins at every CC → costly
- SEBI framework **2018**; implemented **June 2019**; covers cash, equity derivatives, currency derivatives, debt — **not commodity derivatives**

One CC for margins and capital → cheaper

Positions netted across exchanges: long 10 lots XYZ Sep futures on NSE + short 6 on BSE → margin on **long 4**

Competition among CCs improves pricing and service

Investor's trading & settlement journey ★★★★☆

- 3-in-1 account; keep funds in bank and **allocate** them for trading (blocked); **de-allocate** unblocked funds to withdraw
- Orders: market, limit, Good-till-Date… modifiable until executed; immediate online confirmation; trade book (executed) and order book (status); daily email of orders
- Digital contract notes within 24 hours
- Short sale allowed in broker's Margin segment — must be squared off same day, no overnight short
- Purchase money debited on trade date; shares credited at pay-out; short delivery → auction → delay of a few days

New facility: **trading supported by blocked amount** via UPI block in cash segment, offered by Qualified Stock Brokers (from 1 Feb 2025) — or 3-in-1; investor chooses

Securities Lending & Borrowing Mechanism (SLBM) ★★★★★

- Borrow securities temporarily for a fee; on **exchange platform** in India since **2008** (OTC abroad)
- Monthly and yearly contracts on all **F&O** securities; demat only; fee set by demand and supply
- Two legs: lender delivers → **reverse leg** returns; early repay/recall allowed; settlement **guaranteed by CC**
- Uses: short selling · reverse cash-and-carry arbitrage · pairs trading · meeting delivery shortages
- Lender benefits: risk-free income, ownership rights kept, CC guarantee, better portfolio return
- Lenders: MFs, insurers, HNIs

```
Mr A bearish on ABC at ₹180 (target ₹85 in 2 months): borrow on SLB, sell in cash market, buy back lower, return shares
```

Market cap, turnover, delivery % ★★★★★

```
Market cap = shares outstanding × market price
Market turnover ratio = turnover (₹) ÷ market cap
Market cap ÷ GDP = size of a country's market
```

Category	Traits
Large cap / blue chip	Largest, most liquid, less volatile, stable
Mid cap	Good liquidity, medium size; rise more in bull, fall more in bear — momentum
Small cap	Small, less liquid

Turnover by value or volume; higher = more liquid

Delivery % shows how much was investor buying vs trading

Market indices ★★★★★

Index	Facts
S&P BSE Sensex	**30** stocks, market-cap weighted; computed since **Jan 1986**; base **100** on **1 Apr 1979**; India's oldest
Nifty 50	**50** NSE stocks; base date **3 Nov 1995**, base value **1,000**; chosen on liquidity, float, market cap
SX40 (MSEI)	**40** large-cap liquid stocks, free float; base **31 Mar 2010** = **10,000**

Most indices market-cap weighted; liquid members → cheap replication; reviewed periodically

Others: Nifty Next 50, Nifty 100, Nifty 500, Nifty MidCap 150, Nifty SmallCap 250, S&P BSE 100, BSE 500, BSE MidCap, BSE SmallCap + sector indices

Uses: widely reported real-time data · leading indicator of economy/sector · **performance benchmark** for funds

Ticker: last traded price + change vs previous close (green up, red down)

Listing agreement obligations ★★★★☆

- Signed under company's **common seal**; breach → suspension or delisting
- Prompt transfer, registration, sub-division, consolidation · notice of book closure and record dates · full annual reports to exchange · periodic shareholding pattern and results · prompt disclosure of price-sensitive events (insider trading, takeover rules) · corporate governance
- Exchange listing department monitors fees, results, shareholding, quarterly governance reports

Exchange risk management ★★★★★

Category of trading member	Base Minimum Capital
Proprietary only, no algo	**₹10 lakh**
Clients only, no algo	**₹15 lakh**
Proprietary + clients, no algo	**₹25 lakh**
Any member with algo	**₹50 lakh**

≥ **50%** of BMC in cash/cash equivalents; **no exposure** against BMC; exchanges may ask more

Liquid assets must cover MTM, VaR, ELM and BMC: cash, FDs, bank guarantees, G-secs, exchange-traded securities

Margin shortfall → terminals **deactivated** at once; margins returned after pay-in

Pay-in shortfall → trading withdrawn, securities pay-out withheld, daily penalty

Core Settlement Guarantee Fund covers residual risk beyond margins

Online monitoring alerts on abnormal positions; CC can cut open positions; surveillance on news-driven moves

Price actions: **special margins** · narrower circuit filters · shift to **trade-to-trade** segment (forced delivery)

Inspection of member books ≥ **once a year**

Investor rights & obligations ★★★★☆

Rights	Obligations
UCC; copy of KYC & documents	Execute KYC with documents
Trades only in own UCC; best price	Understand voluntary terms, member rights, Risk Disclosure Document
Contract note; know charges	Understand product, process, deadlines
Funds & securities on time; statement; settlement of accounts	Pay margins, funds and securities on time
Complain against member or listed company	Verify trades, bank and DP movements, contract notes, statements
Arbitration; challenge award in court	Complain in time with documents; join dispute meetings

SEBI Investor Charters explain intermediaries' roles and investors' rights

Grievance redressal & arbitration ★★★★★

- Exchange **Investors Grievance Division (IGD)** handles complaints vs members and listed companies
- Not resolved by exchange: notional/opportunity loss, off-exchange trades, mental agony claims
- **Arbitration**: quasi-judicial; once started, no other exchange panels; single arbitrator or panel by claim size
- Award within **30 days** of appointment (+30 extension); hybrid hearings since **July 2022**
- Appeal to appellate panel within **7 days** of award → then **High Court**
- Arbitration extended to shareholder vs listed company / RTA disputes (transfer, transmission, demat/remat, duplicates, corporate benefits) — 30 May 2022
- Exchanges may release **interim relief** in phases

SCORES, ODR, investor protection funds ★★★★★

Mechanism	Key facts
SCORES	SEBI online system for complaints vs all regulated entities and intermediaries; instant acknowledgement + unique number; entity uploads **Action Taken Report**; resolve within **21 days**
ODR (31 Jul 2023)	Complain to entity → SCORES → ODR portal; or ODR directly if unresolved/pending; entity may start ODR after notice; common MII portal; ODR institutions provide online conciliation & arbitration for a fee
Investor Protection Fund (IPF)	Each exchange, run by a **trust**; pays investors when defaulting broker's assets fall short; max per investor set by exchange; also funds education
IPEF (SEBI)	SEBI contributions, govt grants, **disgorged** amounts; restitution claims within **7 years** of SEBI inviting claims; rest for education

Debt secondary market & reporting ★★★★★

- G-secs & T-bills: **NDS-OM** (RBI-owned, CCIL-run, anonymous); phone deals must be reported on NDS-OM; also on exchanges
- SEBI brokers access NDS-OM via a **Separate Business Unit** (RBI 7 Feb 2025, SEBI 11 Feb 2025); **RBI Retail Direct** for retail primary + secondary
- Corporate bonds: mostly OTC, bilateral; smaller, shallower market

Year	SEBI step
2007	Exchange reporting platforms for OTC corporate bond trades; later mandatory within **15 minutes**
2009	OTC corporate bond trades cleared & settled via exchange CCs
2013	Dedicated **debt segment**: retail platform (public issues) and institutional platform (private placements, min lot **₹1 crore**)
2015	NSE web-based negotiated trade platform

Centralised corporate bond database by NSDL & CDSL

RFQ: electronic request-for-quote, pre-trade transparency; MFs and PMS must route a share of trades; extended to debt-segment brokers, AIFs, FPIs

Workbook sample answers ★★★☆☆

Primary function = liquidity

Trade confirmation document = contract note

Default risk controlled by margins

Squared-off trade needs no delivery

Market cap changes with stock price

05 Mutual Funds

≈20 marks · 30 subtopics · chapter priority ★★★★★

Direct investing vs mutual funds ★★★★☆

Direct investing burdens: **selection · price · timing · weighting · evaluation · exit · operations**

Mutual fund = someone else selects and manages the portfolio for a fee

Basic features of a mutual fund ★★★★★

- Pool of investors' money managed by specialist firms; scheme objectives stated upfront
- Investors get **units** = proportional share; are **unit holders**; bear all risk, no guarantee
- Portfolio disclosed periodically; buy/sell from fund or on exchange if listed
- MFs **may not borrow to invest** — only for temporary liquidity (redemptions, interest/dividend payment)
- Unit holders are sole owners of the assets; all activity under SEBI regulations

Products differ by: asset allocation · investment objective · costs & fees · operational details

Mutual fund, scheme, categories ★★★★★

- Assets held in a **trust**; investors = joint beneficial owners; trustees oversee the investment manager
- 'Mutual fund' also means the fund house
- SEBI's 5 groups: **Equity · Debt · Hybrid · Life Cycle Funds · Others**
- **One scheme per category**, except: index funds/ETFs on different indices · FoFs with different underlyings · sectoral/thematic funds on different sectors/themes
- 'Type of scheme' must appear in offer documents and ads

Pooling, units, unit capital (worked) ★★★★★

```
3 investors: ₹10,000, ₹20,000, ₹30,000 → pool ₹60,000,
ratio 1:2:3
Portfolio grows to ₹72,000 → holdings ₹12,000 / ₹24,000 /
₹36,000
At FV ₹10: 1,000 / 2,000 / 3,000 units → unit capital =
6,000 × ₹10 = ₹60,000
```

Face value (typically ₹10) matters for accounting

MTM = value securities at current market price daily (₹60,000 cost → ₹72,000 MTM)

NAV (worked) ★★★★★

```
Net assets = MTM value + income - expenses
72,000 + 3,000 dividend - 600 expenses = 74,400
NAV = 74,400 ÷ 6,000 units = ₹12.40
```

Computed every business day; investors buy and sell at NAV-based prices

Why transactions are priced at NAV (worked) ★★★★★

Case	Assets ÷ units	New NAV	Effect
A. Buy 1,000 at FV ₹10	84,400 ÷ 7,000	12.05	Existing holders lose
B. Buy 1,000 at NAV ₹12.40	86,800 ÷ 7,000	12.40	No change
C. Redeem 1,000 at FV ₹10	64,400 ÷ 5,000	12.88	Remaining holders gain
D. Redeem 1,000 at NAV	62,000 ÷ 5,000	12.40	No change

Open-ended: no maturity; buy/redeem any business day

NAV pricing keeps parity between entering, staying and exiting investors

Expenses, loads, performance, diversification ★★★★★

- Expenses as % of **daily average net assets**; deducted daily, already in NAV; quoted as **TER** (% of AUM); limits set by regulation, differ by fund type
- **Exit load**: % of NAV by holding period; **entry load prohibited**
- No assured return; equity funds move with equity markets; aim to match or beat an index
- Diversified portfolio even with ~₹5,000; spreads sector and stock risk

```
Exit load 1% within 1 year; NAV ₹12 → load 0.12 →
redemption price ₹11.88
```

Pass-through status ★★★★★

- Income of a SEBI-registered MF is **fully exempt** from tax — earned for investors and passed through
- Avoids taxing the same income twice (fund + investor); taxed only in investors' hands
- Unit capital is capital, not a loan

Open-ended, closed-end, interval funds ★★★★★

	Open-ended	Closed-end	Interval
Maturity	None	Fixed — fund buys back and winds up	—
Buying after launch	Any time at NAV	No — only in **NFO**	In set windows (e.g. 3 days a quarter)
Selling	Back to fund at NAV	On exchange only (fund not involved)	To fund in windows, or on exchange
Listing	Optional	**Mandatory**	Listed

Growth vs IDCW options ★★★★★

Option	How returns come
Growth	Gains retained; NAV rises; realise by selling units
IDCW payout	Dividend from **realised** profits paid out
IDCW reinvestment	Dividend reinvested in additional units

SEBI 5 Oct 2020 renamed dividend options '**Income Distribution cum Capital Withdrawal**' — part of capital can be paid out

How a mutual fund works ★★★★★

- **AMC** = investment manager; fund manager and staff are AMC employees; launches schemes, collects and manages money, charges a fee; supervised by AMC board and trustees
- **Trustees** approve major decisions; meet at least **6 times a year**
- NFO = primary issue; scheme related documents: **SID, SAI, KIM**
- Distributors (banks, brokers, individuals) empanelled; earn **trail commission** as % of assets while money stays; investors may go **direct**
- NFO price usually FV ₹10; ongoing at NAV; minimum ₹500 / ₹5,000 (most) / ₹10,000
- Holdings tracked in unique **folio** numbers; R&T agents service investors
- Money held by **custodian**, not AMC's bank account
- Daily valuation, NAV published by end of day; full portfolio and accounts disclosed periodically

Constituent (SEBI-registered, trustee-approved)	Role
Custodian	Holds and settles funds and securities
R&T agent	Keeps and services investor records
Banks	Collections and payments
Auditor	Audits scheme accounts
Distributors	Sell products
Brokers	Execute securities trades

Equity scheme categories ★★★★★

Category	Rule (min % of total assets)
Multi cap	Equity ≥ **75%**; ≥ 25% each in large, mid, small
Large cap	Large-cap equity ≥ **80%**
Large & mid cap	≥ **35%** large + ≥ **35%** mid
Mid cap	Mid-cap ≥ **65%**
Small cap	Small-cap ≥ **65%**
Flexi cap	Equity ≥ **65%**, dynamic across caps
Dividend yield	Equity ≥ **80%**, mainly dividend-yielding stocks
Value / Contra	Equity ≥ **80%**; value strategy / contrarian strategy
Focused	Max **30 stocks**; equity ≥ 80%; state focus (multi/large/mid/small)
Sectoral / Thematic	≥ **80%** in sector/theme; ≤ **50%** overlap with other equity schemes (except large cap)
ELSS (Tax Saver)	Equity ≥ **80%**; **3-year lock-in**; ELSS 2005; Sec 80C up to **₹1.5 lakh — old tax regime only**
ESG (thematic sub-category, 20 Jul 2023)	Strategies: exclusion · integration · best-in-class & positive screening · impact · sustainable objectives · transition

Cap	Rank by full market cap
Large	1st – 100th
Mid	101st – 250th
Small	251st onwards

TRAP The XII workbook says an AMC may offer a value fund **OR** a contra fund, not both. The V-D (Sept 2026) workbook allows both with at most 50% portfolio overlap. For the XII exam, answer 'either value or contra'.

Debt funds — how returns arise ★★★★★

- Debt from govt, PSUs, banks, companies; short-term (T-bills, CP, CD) or long-term (G-secs, PSU and corporate bonds)
- Credit risk (corporate bonds) vs none (G-secs); **MTM risk** = price change when rates move — larger for longer tenor
- Rates ↑ → prices ↓ (more for long tenor); rates ↓ → prices ↑
- Short-term funds: mostly coupon, little MTM; gain when rates rise (higher coupons)
- Long-term funds: higher coupon + bigger MTM swings; gain most when rates fall
- Credit-risk bonds pay higher coupons; risk shown by portfolio ratings

Debt scheme categories ★★★★★

Category	Rule
Overnight	Securities maturing in **1 day**
Liquid	Debt & money market up to **91 days**
Ultra short term	Macaulay duration **3–6 months**
Ultra short to short term	Macaulay duration **6–12 months**
Money market	Money market instruments up to **1 year**
Short term	Duration **1–3 years**
Medium term	Duration **3–4 years** (1–4 in adverse situation)
Medium to long term	Duration **4–7 years** (1–7 adverse)
Long term	Duration **> 7 years**
Dynamic	Across durations
Corporate bond	≥ **80%** in **AA+ and above**
Credit risk	≥ **65%** in **AA and below** (excl. AA+); no 'high yield' style names
Banking & PSU	≥ **80%** in banks, PSUs, PFIs, **municipal bonds**
Gilt	≥ **80%** G-secs across maturity
10-yr constant maturity gilt	≥ 80% G-secs; portfolio Macaulay duration = **10 years**
Floater	≥ **65%** floating rate (incl. swapped fixed-rate)
Sectoral debt	≥ **80%** in one sector, AA+ and above; e.g. financial services, energy, infrastructure, housing & real estate

Hybrid scheme categories ★★★★★

Category	Equity	Debt / other
Conservative hybrid	10–25%	Debt 75–90%
Balanced hybrid	40–60%	Debt 40–60%; **no arbitrage**
Aggressive hybrid	65–80%	Debt 20–35%
Dynamic asset allocation / Balanced advantage	Managed dynamically	
Multi asset allocation	≥ 3 asset classes, ≥ **10%** each	Foreign securities not a separate class
Arbitrage	Equity ≥ **65%**	Debt only G-secs < 1 yr + G-sec repo
Equity savings	Equity ≥ **65%**	Debt ≥ **10%**; hedged/unhedged minimums in SID

Offer **either** aggressive hybrid **or** balanced hybrid

More equity → more risk

Residual portion may go to InvITs (not arbitrage funds), ETCDs, gold ETFs, silver ETFs

Arbitrage: buy cash, sell futures; spread = interest element, locked till expiry; NAV volatility like a liquid fund

Life cycle funds ★★★★★

- Open-ended with target maturity and **glide path** — grows more conservative near maturity
- Multi-asset: equity, debt, InvITs, ETCDs, gold & silver ETFs
- Tenure **5 to 30 years** in multiples of 5; max **6** open for subscription at a time

Other schemes: index, ETF, gold/silver ETF, FoF ★★★★★

Scheme	Rule
Index fund / ETF	≥ **95%** in index securities
ETF	Units issued at launch, then traded on exchange via brokers; need broking + demat; real-time prices linked to NAV
Gold ETF	Gold in electronic form; usually **1 unit = 1 gram**; holds physical gold/receipts
Silver ETF	Mainly silver and silver instruments (norms 24 Nov 2021)
Commodity ETFs	**Dedicated fund manager** with commodity skills; NAV daily on AMC website
Fund of Funds	≥ **95%** in underlying fund(s); mostly own fund house's schemes

FMPs, infrastructure debt funds, real estate funds ★★★★☆

Scheme	Features
Fixed Maturity Plan	Closed-end; securities mature with scheme → returns locked in; main risk = **credit**; listed
Infrastructure Debt Fund	Closed-end, tenor ≥ **5 years**; ≥ **90%** infra debt/securitised debt; NAV at least **quarterly**; min investment **₹1 crore**; unit FV ≥ **₹10 lakh**; listed; sponsor needs infra experience
Real estate MF	Property or real estate company securities; closed-end, listed

Active vs passive investing ★★★★★

	Active	Passive
Aim	Beat benchmark	Match benchmark (replicate index weights)
Cost	High (research, churn)	Low (no stock-picking team)
Measure	Outperformance (often fails in US)	**Tracking error** → as near zero as possible

	Index fund	ETF
Traded	With AMC at NAV (cut-off rules)	On exchange all day at market price; limit orders possible

SEBI passive norms (23 May 2022): direct ETF deals with AMC only above **₹25 crore** · **iNAV** shown continuously on exchange · ELSS may be active (equity) or **passive** (Others; index of top **250** stocks) · FoFs value ETFs at exchange **closing price**

Investment channels; PAN & KYC ★★★★★

- Offline: AMC, distributor or RTA office → KYC + form + cheque → folio + account statement
- Online: AMC/RTA website; choose scheme, option, lump sum or SIP, payment
- Exchanges: **NSE MFSS**, **BSE StAR MF** (one-time registration); **MF Utilities (MFU)** industry platform, online and offline
- **PAN mandatory** except individual investments ≤ **₹50,000 a year per mutual fund** (lump sum + SIP)
- Eligible: residents, NRIs, PIOs, foreign nationals, institutions, trusts
- KYC once, valid across MFs and capital market; includes IPV; Aadhaar **eKYC** removes paperwork and IPV; **CAMS / KFinTech** are KYC User Agencies (OTP)

FATCA & CRS ★★★★☆

- MFs identify foreign reportable accounts; report to US IRS / other govts via Indian tax authorities
- Disclose citizenship, birthplace, tax residency outside India + taxpayer ID
- If covered → value of **all folios** reported, incl. beneficiaries and controlling persons
- Status change → inform fund within **30 days**

Purchases: NFO & continuous offer ★★★★★

Rule	Detail
NFO period	**15 days** (except ELSS)
Allotment	Within **5 business days** of NFO close (except ELSS)
NFO documents	Form comes with **KIM**
Payment	Cheque, NEFT, RTGS, ASBA etc.; from bank account of the **first holder**
Cash	Up to **₹50,000** per fund house; DD only in specified cases
Continuous offer	New investors: application form; existing: **transaction slip** with folio; submit at Official Point of Acceptance (AMC office or ISC); units at applicable NAV; Statement of Account
Joint holders	Up to **3**; all do PAN & KYC; mode 'joint' (all sign) or 'either or survivor'

Scheme documents free at ISCs/AMC offices: **SAI** (fund/AMC statutory info) · **SID** (scheme) · **KIM** (key facts)

Riskometer on NFO form, SID, KIM front pages and in adverts

Factsheet monthly: objective, category, options, AUM, benchmark, minimum, exit load, riskometer, manager profile, top 10 holdings, sectors, past returns, ratios

Exchange channel: brokers with **ARN** + exchange permission; units in demat

Redemptions (worked) ★★★★★

```
500 units, NAV ₹24, exit load 1%
Price = 24 × 0.99 = ₹23.76 → amount = 500 × 23.76 = ₹11,880
```

- Open-ended: any time at NAV; closed-end: only at maturity
- State amount or units; signatures per holding mode
- Bank details mandatory at purchase; payout to bank or cheque with pre-printed account (anti-fraud)
- Register up to **5** bank accounts; one is default

Non-financial transactions, statements, demat, commission ★★★★★

- Changes (address, bank, joint holder) via transaction slip + documents; central agencies update across funds
- **SoA** after every transaction; **CAS** monthly if any transaction; every **6 months** if none
- Later SoAs show balance units, NAV, value, **average TER** and **gross commission** paid to distributors
- Units may be held in demat; investor bears demat and broker costs
- Commission: **full trail model**; no upfront commission; upfronting of trail only for **SIP** inflows (with conditions)

Systematic plans & switches ★★★★★

Specify: type · period · frequency · day · amount

Facility	How it works	Example
SIP	Fixed sum invested periodically; more units when NAV low → **rupee cost averaging**	₹5,000 on 5th monthly → ₹60,000 a year; quarterly SoA
SWP	Fixed sum redeemed periodically; book profits / regular income	₹5,000 on 5th; NAV ₹20 → 250 units; if balance insufficient → all redeemed, folio closed
STP	SWP from source + SIP into destination, same fund house	₹10,000 monthly liquid → equity for 6 months
Switch	One-off redeem + buy, any amount/date; also between options (growth → IDCW)	Exit load applies on source

Information, benefits & costs ★★★★★

Information: scheme documents · brochures · monthly factsheets vs benchmark · SEBI and AMFI websites, rating sites

Benefits	Costs / limits
Diversification from ₹500	Fees and expenses
Professional management	Limited control over decisions
Liquidity	Indirect ownership — held in trust's name; investor is beneficial owner
Flexibility (lump sum/SIP, IDCW/growth)	
Tax efficiency (fund exempt)	
Access to wholesale/unlisted debt	

Regulation of mutual funds ★★★★★

- **SEBI (Mutual Funds) Regulations 1996** (amended 1 Nov 2025); only SEBI-registered entities
- Trust structure; trustees ensure investor interest; money off AMC's balance sheet
- Rules on sponsor track record and capital, AMC/trustee roles
- Schemes need **trustee and SEBI** approval; disclosure formats set
- Investment limits, diversification, valuation and accounting set by SEBI
- Expense types and limits capped
- Returns published with benchmark returns; reports to SEBI, trustees, AMC board
- **Risk Management Framework**: identify, measure, manage, report risks

Investor service standards ★★★★★

Service	Standard (this workbook)
NAV, sale & redemption prices	Daily
Allotment	NFO: within 5 business days; ongoing: transaction date
Dividend (IDCW)	Within **15 days** of declaration
Redemption	Within **10 working days**
Delay	AMC pays **15% p.a.** interest — borne by AMC, not scheme

Investor Charter for MFs on AMC websites (10 Dec 2021)

AMFI = industry body; best practices, codes of conduct

Mandatory voting on governance, capital structure, pay, CSR, director changes, related-party deals (5 Mar 2021)

> **TRAP** These are the XII workbook's timelines. The V-D (Sept 2026) workbook gives shorter, newer SEBI timelines. For the XII exam, use 15 days and 10 working days.

Specialized Investment Fund (SIF) ★★★★☆

New product line under MF Regulations (amended 16 Dec 2024)

Minimum investment **₹10 lakh** across all strategies

Workbook sample answers ★★★☆☆

NAV mainly reflects current market value of portfolio

ETF: transact with brokers, units in demat

KYC by **all holders including minors**

Fixed periodic purchase = SIP

Daily NAV disclosure = True

06 Derivatives Markets

≈10 marks · 15 subtopics · chapter priority ★★★★☆

Derivative & forward (gold example) ★★★★★

- Derivative = value derived from an **underlying**; risk management tool for unknown future values
- Buyer fears price rise, seller fears fall → agree price now = **forward**; they are **counterparties**; one's loss is the other's gain

Gold in 1 year (forward at ₹30,000 for 10 g)	Buyer	Seller
₹30,000	No gain/loss	No gain/loss
₹35,000	**Gains**	Loses
₹25,000	Loses	**Gains**

Structuring derivatives — examples ★★★★☆

Main purpose: **transfer risk**; payoff can be two-way (forward) or one-way

Risk	Derivative
Farmer: monsoon failure	**Weather** derivative (payoff on rainfall)
Borrower: floating rate, wants fixed	**Interest rate swap** (receive floating, pay fixed)
Importer: rupee falls vs USD	**Currency** derivative fixing future rate
Portfolio manager: market falls	**Index** derivative paying on index fall

Zero sum, settlement, OTC vs exchange, arbitrage ★★★★★

- Every long has a matching short → net economic value of all positions = **zero**; no new asset created
- Cash settlement = pay price difference, no delivery
- Since **October 2019**: all **stock** F&O open at expiry settled by **physical delivery**; **index** F&O stay **cash-settled**
- OTC: mutually agreed, non-standard, rely on trust, between institutions; exchange-traded: standard, via clearing corporation with margins, anonymous
- Forwards = OTC; futures = exchange-traded
- **Law of one price**: identical goods can differ across markets only by transaction costs (transport, storage, insurance, interest); arbitrageurs close gaps
- Derivative price differs from cash price by costs such as warehousing and interest

Forwards, futures, options, swaps ★★★★★

Product	Key points
Forward	OTC, custom terms; cash or delivery; **counterparty risk**; relies on trust (community/regional commodity forwards)
Futures	Exchange-traded forwards; exchange sets terms; **clearing corporation** is counterparty; margins remove counterparty risk
Option	Right, not obligation; buyer/holder (long) pays premium; seller/writer (short) obliged if exercised; call = right to buy, put = right to sell
Swap	Exchange of payments on future dates; common in rates and currencies; OTC but governed by swap dealer association rules

```
MCX wheat futures: unit 10 MT · min order 500 MT · max position 5,000 MT per individual · standard mill quality · starts 21st · delivery 20th · physical only · approved warehouses
```

```
Swap: borrower pays T-bill + spread quarterly → pays fixed to dealer, receives T-bill + spread → net = fixed rate; only interest on agreed principal exchanged
```

Option terminology (Arvind–Salim) ★★★★★

- Arvind buys Nifty call from Salim: strike **10,000**, 3 months, premium **₹100**
- Arvind = buyer; Salim = writer; strike/exercise price = 10,000; premium = price of option
- Nifty 10,200 at settlement → **in-the-money**; Arvind exercises; Salim keeps ₹100 but must sell at 10,000
- Nifty 9,800 → **out-of-the-money**; Arvind lets it lapse; Salim keeps ₹100

Indian derivatives market structure ★★★★★

On exchanges: equity index options & futures · stock options & futures · currency F&O on select pairs · interest rate futures & options · commodity F&O

OTC: agricultural forwards, interest rate swaps

Index futures on BSE & NSE from **June 2000**; index options, stock options, stock futures from **2001**; India among few markets with single-stock futures

Derivative volumes far above cash market volumes

Fully automated, nationwide, anonymous screen trading; CC settles; guaranteed via capital norms, intraday position and margin monitoring

Trade via exchange members; trading members settle through clearing members

Transaction charges on contract value (futures) or premium (options), possibly from both sides; **STT** payable

Eligible indices/stocks (e.g. Nifty 50, Nifty Bank, Sensex) chosen on size and volume per SEBI criteria; exchanges may be stricter

Equity futures contract specifications ★★★★★

Spec	Rule (this workbook)
Expiry	Last **Tuesday or Thursday** of month as chosen by the exchange; all its equity derivatives on the same day (SEBI 26 May 2025); holiday → previous trading day
Contracts	Near, next and far month; plus 3 quarterly (Mar/Jun/Sep/Dec) and 8 semi-annual (Jun/Dec); weekly index options: 7 weekly expiries excluding monthly expiry week
Lot size	Value ≥ **₹5 lakh** at introduction
Base price	Day 1: theoretical futures price (underlying + interest to expiry); later: daily settlement price
Tick	**₹0.05** (5610.50 → 5610.55 or 5610.45, not 5610.52)
Price & quantity freeze	Orders outside range need member confirmation; may be refused if over exposure or contract illiquid
Hours (NSE)	9:15 am – **3:40 pm**; trade modification till **4:15 pm**

TRAP The XII workbook still gives the old ₹5 lakh minimum lot value. The V-D (Sept 2026) workbook gives ₹15–20 lakh for index contracts and ₹5–10 lakh for stocks. For the XII exam, answer ₹5 lakh.

Order types in F&O ★★★★☆

Order	Rule
Regular lot	Market or limit; unmatched (even partly) cancelled at day end
Stop loss	Triggers at set price to protect an executed position
Immediate or cancel	Cancelled if not executed at once
Day order	Valid that day
Spread order	Executes when the gap between two positions hits a set level

Orders time-stamped by exchange; different books by type

Corporate-action price adjustment after close on last cum day (position value unchanged)

Clearing members & settlement ★★★★★

Clearing member	Role
TM-CM	Trades and clears own + other members' trades
Professional CM (PCM)	Not a trading member — banks/custodians, clearing only
Self-clearing member (SCM)	Clears only own trades

- Daily MTM settlement on **T+1**: traded price vs daily settlement price = **weighted average of last 30 minutes**
- Final settlement on expiry at underlying's **closing price** in cash market
- **Clearing bank**: empanelled by CC; clearing account used only for settlement

```
Buy Nifty futures 10,000; settlement price 9,900 → loss ₹100 × lot 50 = ₹5,000 pay-in
```

Options trading & settlement ★★★★★

- Same indices/stocks as futures; expiry last Tuesday (NSE) or Thursday (BSE)
- India trades only **European** options: **CE** = call European, **PE** = put European; market trades the premium for each strike
- Lot ≥ ₹5 lakh at introduction; tick ₹0.05; base = theoretical price using **MIBOR**
- Price band computed and announced daily (not a fixed %)
- Daily settlement of **premium** on T+1 to seller
- On expiry, exercised ITM options settled at close; long positions assigned to shorts, aggregated client → TM → CM

Risk management in derivatives ★★★★★

Tools: capital adequacy · stringent margins · position limits by capital · online monitoring · automatic disablement on breach

SEBI study (25 Jan 2023): **9 of 10** individual F&O traders made net losses

Liquid net worth = liquid part of net worth and margins (cash & equivalents); rest = base capital; CC may use them to settle member dues; collateral release via electronic interface

Margin	Futures	Options
Initial	Risk over a **2-day** horizon	On premium value of open positions
Exposure	% of notional value	Notional value; **short positions only**
Premium margin	—	Premium due, till premium pay-in
Assignment margin	—	Final exercise obligation, till exercise pay-in

Margins paid upfront; flow client → TM → CM → CC

Non-payment: trading suspended, disciplinary action, positions closed

CMs report margins due and collected daily (upfront collection framework 20 Jul 2020)

Position limits ★★★★☆

- CM open position = aggregate of its TMs, clients, custodial participants; proprietary and client positions grossed separately (sells set off against buys within each)
- Limits as % of market-wide position limit or contract value
- Near limit → alerts, no fresh positions, only squaring off; terminal deactivated when hit; penalties for breaches
- Real-time monitoring; CMs may need more base capital and liquid net worth

Uses: hedging, speculation, arbitrage ★★★★★

Use	Meaning
Hedging	Protect an existing position from adverse price moves
Speculation	No underlying position; implement a price view cheaply — cost of long futures = margin
Arbitrage	Price gap > borrowing cost → borrow, buy cheap, sell dear; settle both legs at expiry → locked gain less interest

Benefits: symmetrical and asymmetrical payoffs for hedging · more liquidity, lower costs, better price discovery

Costs: OTC and poorly regulated markets caused liquidity crises and counterparty failures when big positions were unwound

Open interest & put-call ratio ★★★★★

- Open interest = all outstanding contracts, counted **one side**
- A sells to B (OI 1); A later buys from C to square off → A out, but B short vs C long → OI unchanged
- OI ≠ volume; higher OI relative to volume → more liquidity; rising OI = fresh money

```
PCR = put options outstanding ÷ call options outstanding
More calls → PCR < 1 ; more puts → PCR > 1
```

Traders read PCR as bullish or bearish in different ways

Workbook sample answers ★★★☆☆

Nifty 50 futures underlying = value of the Nifty 50 index

Futures cut counterparty risk through the clearing corporation

MTM settlement price = weighted average of last 30 minutes

Exercisable any time before expiry = American option

Gloss Glossary of Financial Terms & extra facts

≈— marks · 4 subtopics · chapter priority ★★☆☆☆

Glossary A–C ★★☆☆☆

Term	Meaning
Accrued interest	Interest since last coupon; buyer compensates seller
Admission to dealing	Permission to list and trade a company's securities
Allotment advice	Letter confirming allotment; not negotiable
American option	Exercisable any time before expiry
Analyst	Regularly publishes research-based recommendations
Arbitration	Exchange dispute mechanism between members and clients
Asset management company	Runs day-to-day operations and investments of a unit trust
Auction	Buying-in securities for a seller who failed to deliver
Authorised capital	Maximum capital allowed by MoA/AoA
Back office	Post-trade functions (some risk work moved to 'middle office')
Banker to an issue	Scheduled bank: applications, allotment/call money, refunds, dividend/interest warrants
Basis	Spot price − futures price; hedge reduces risk if basis is less volatile than price
Basis point	1/100 of 1% (5.25% → 5.33% = 8 bp)
Bear / bear market	Expects fall (may sell what he does not own) / falling, sellers dominate
Beta	Volatility vs market index; low beta = lower risk
Blue chip	Best-rated shares: return, safety, liquidity
Bonus shares	Free shares from capitalised reserves
Book closure	Register closed to fix entitlements
Book runner	Lead merchant banker maintaining the book
Book value	Cost less depreciation; firm: assets − liabilities
Boom / bubble / break	Rising active market / speculative rise likely to burst / sharp fall
Breadth of market	Number of regularly traded securities
Broker	Agent of clients but deemed principal — dual responsibility
Brokerage	Commission; exchange scale is the **maximum**
Broker dealer	Non-bank trading for self or others
Bull / bull market	Expects rise / rising, buyers dominate
Buy on margin	Buy with money borrowed from broker
Churning	Excess trading by broker for commission; or heavy trading with no trend
Circular trading	Matched fake trades to move prices, no real change in ownership
Clearing	Working out what members deliver and receive
Closing price	Last trade price before close
Confirmation process	Verifying trade details with counterparty
Counterparty risk	Other side fails before settlement

Glossary D–O ★★☆☆☆

Term	Meaning
Daily margin	Daily deposit set by exchange
Delisting	Permanent removal from exchange; voluntary delisting by promoter/acquirer
Dealer	Counterparty on both sides of the market
Depository / DP	Keeps records of securities / its SEBI-registered agent
Depreciation	Fall in value of a security, index or currency
Depth of market	Shares tradable at best bid/offer
Ex-dividend date	From this date buyer gets no declared dividend
Ex-right date	Quotation marked XR
Face value	Nominal or par value
Firm allotment	Firm-basis allotment to institutions, MFs, FPIs, NRIs, OCBs, employees
Float / floating stock	Issued shares outstanding / part that trades daily
Hedge funds	Private aggressive pools; managers share profits
Insider trading	Trading on undisclosed material information
ISIN	Unique ID for each security in depository system
Listed company	Securities listed via offer document; includes listed PSUs
Market maker	Gives two-way quotes, obliged to deal
Matched transaction	Members' reported buys and sells agree
MIBOR	Mumbai Interbank Offer Rate — average of quotes from ~**30** banks
Odd lot	Less than standard trading unit
Offer document	RHP, prospectus, shelf prospectus (public issue); letter of offer (rights)
Offer period	From MoU/public announcement to completion of offer
Offer price	Price at which securities/units are offered
Open order	Valid until executed or cancelled
Order book	Electronic book of demand and supply at each price

Glossary P–V

Term	Meaning
Pari passu	New securities with same rights as existing ones
Pay-in / pay-out	Days members pay / receive
Position limit	Max option contracts on one security held by investor(s) acting jointly
Price-sensitive information	Likely to materially affect price if published
Prospectus	Any document inviting public to subscribe or deposit
Proxy	Votes on behalf of a shareholder
Regulatory sandbox	Live controlled testing of FinTech under regulator
Rolling settlement	Settle a fixed number of days after trade
SLBM	Exchange platform for anonymous securities lending, guaranteed settlement
Short position	Sold for future delivery; option writer may be assigned
Stock split	More shares, lower price to raise demand
Trading member	Derivatives member settling via a clearing member
Underwriting	Agreement to subscribe what public/holders don't
Value at Risk	Max loss over a horizon at a low set probability
Vanilla issue	Straight conventional fixed-rate issue
Volume of trading	Shares changing hands
Voting rights	Shareholder's right to vote at general meeting

Glossary compiled from SEBI's Glossary of the Capital Market, SEBI regulations and exchange websites

Footnote facts worth a mark

- Exam on or after **30 Oct 2026** uses the Sept 2026 workbook (updates highlighted yellow)
- Derivatives are 'created by exchanges' (footnote 5); 'portfolio' = group of securities
- Large/mid/small-cap list: AMFI publishes every **6 months** (end-June and end-December data), within **5 calendar days**; average full market cap of previous 6 months; multiple listings → average across exchanges
- Scheme names may not stress only returns (no 'High Yield', 'Credit Opportunities', 'Credit Advantage')
- Liquid and overnight funds follow uniform NAV cut-off rules (26 Nov 2010)
- ASBA extended from public issues to MF NFOs
- SEBI MF categorisation master circular: 20 Mar 2026; sectoral debt funds: 26 Feb 2026